HSBC Global Investment Research

4 June 2026

Korea EV/ESS Battery

ESS pull and EV bottoming; brace for upside catalysts

Equities
Electronic Equipment & Instruments

Korea

- US ESS battery market is tilting towards Korean companies – new order contracts and market share gains to continue
- Well-known EV weakness; limited downside amid improving sentiment with TCOs approaching parity from high oil prices
- SDI (Buy) – our preferred battery pick as a key ESS pivot stock; LGES (Buy) – catch-up and EV beta opportunity

Yushin Park*
Analyst, Korea Industrials & Utilities
The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch
yushin.park@kr.hsbc.com
+82 2 3706 8756

Chan Park*
Research Associate, Korea Autos & Financials
The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch
chan.park@kr.hsbc.com
+822 3706 8713

** Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations*

Cycle bottoming: The EV slump is well-known, and we believe the cycle is at a low point, as supply-side discipline begins to ease oversupply. *Higher for longer oil prices* (6 May 2026) also improve the total cost of ownership and consumer sentiment for EVs. Moreover, strong energy storage system (ESS) demand and leading players' capacity conversion from EV to ESS batteries are improving industry dynamics.

Structural ESS growth: We believe structural ESS growth should also help bridge the EV demand gap. The fast-growing US market is structurally rotating towards Korean players, supported by: **1)** localised production, **2)** geopolitical supply risks, and **3)** policy tailwinds (tariffs, AMPC and ITC). We estimate that US-made Korean batteries can lower total ESS project capex by c16% versus China-made alternatives (see Exhibit 7). Additionally, strategic security of US-based production makes Korean suppliers an increasingly attractive choice, in our view. In this regard, we expect Korean makers' share of ESS in the US to show the following expansion: 2025-28e at 10%, 37%, 51% and 63%, respectively, driving an earnings recovery and growth in the coming years.

Sector catalysts: Short-term earnings drivers are: **1)** battery price hikes amid higher metal prices, **2)** stronger monthly EV sales due to higher pump prices, and **3)** potential OEM compensation for underutilised committed volumes. Medium- to long-term drivers are: **4)** incremental ESS order wins driven by AIDC expansion, **5)** UTR improvement from supply-side discipline (capacity cuts and lower investments), and **6)** market penetration with new chemistries, including high voltage mid-nickel, and solid-state batteries for long-term optionality.

Prefer SDI as a key ESS pivot stock and highlight LGES as an EV beta play: We lift ESS-related earnings estimates across the board on strong demand in the US and market share gains. **SDI (006400 KP, Buy, TP KRW900k from KRW520k)** is our preferred stock, given potential upside to its ESS business, a faster recovery in small batteries, and an improving balance sheet, as well as monetisation of SDC stakes. Our 2027-28e OP estimates for SDI are 44% and 23% above Bloomberg consensus, respectively. We also highlight **LGES (373220 KP, Buy, TP KRW550k from KRW500k)** as high beta play for the EV recovery with limited volume downside. Our 2027-28e OP estimates for LGES are 17% and 12% above Bloomberg consensus, respectively.

With this report Yushin Park assumes primary coverage of Samsung SDI and LG Energy Solution.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch

View HSBC Global Investment Research at:
https://www.research.hsbc.com

Exhibit 1. Company ratings, target prices and key metrics

Company	Ticker	Currency	Price	TP (Old)	TP (New)	Rating	Upside	Market cap (USDm)	3m ADTV (USDm)
Samsung SDI	006400 KP	KRW	688,000	520,000	900,000	Buy	+30.9%	36,267	294
LG Energy Solution	373220 KP	KRW	458,000	500,000	550,000	Buy	+20.1%	68,857	124

Source: Bloomberg, HSBC estimates. Note: Priced as at close on 29 May 2026. TP – Target Price.

Exhibit 2. 1Q26a results summary

	1Q26a		Diff	1Q26a growth			
(KRWbn)	Actual	Cons	Cons	q-o-q	y-o-y	1Q25	4Q25
SDI							
Sales	3,576	3,413	4.8%	-7.3%	12.6%	3,177	3,859
OP	-156	-271	-	-	-	-434	-299
OPM	-4.4%	-7.9%	3.6%pt	3.4%pt	9.3%pt	-13.7%	-7.8%
LGES							
Sales	6,555	6,316	3.8%	1.2%	-2.5%	6,723	6,474
OP	-208	-207	-	-	-	375	-122
OPM	-3.2%	-3.3%	0.1%pt	-1.3%pt	-8.7%pt	5.6%	-1.9%

Source: Company reports, Bloomberg consensus, HSBC

Exhibit 3. 2026-28e estimate changes

	New			Old			Change		
(KRWbn)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
SDI									
Revenue	16,062	20,639	23,292	15,604	20,912	22,242	2.9%	-1.3%	4.7%
OP	121	2,068	2,873	136	2,254	2,315	-10.5%	-8.3%	24.1%
OPM	0.8%	10.0%	12.3%	0.9%	10.8%	10.4%	-0.1ppt	-0.8ppt	1.9ppt
Net profit	496	1,803	2,349	500	1,693	1,750	-0.8%	6.5%	34.2%
NPM	3.1%	8.7%	10.1%	3.2%	8.1%	7.9%	-0.1ppt	0.6ppt	2.2ppt
LGES									
Revenue	29,962	35,373	40,474	26,827	32,687	32,774	11.7%	8.2%	23.5%
OP	1,500	4,275	6,423	1,513	4,423	4,828	-0.9%	-3.3%	33.0%
OPM	5.0%	12.1%	15.9%	5.6%	13.5%	14.7%	-0.6ppt	-1.4ppt	1.1ppt
Net profit	389	2,250	3,406	385	2,025	2,132	1.0%	11.1%	59.8%
NPM	1.3%	6.4%	8.4%	1.4%	6.2%	6.5%	-0.1ppt	0.2ppt	1.9ppt

Source: Bloomberg consensus, HSBC estimates

Exhibit 4. HSBC estimates versus Bloomberg consensus

	HSBC			Consensus			Difference		
(KRWbn)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
SDI									
Revenue	16,062	20,639	23,292	15,675	19,569	23,653	2.5%	5.5%	-1.5%
OP	121	2,068	2,873	-3	1,435	2,334	-	44.1%	23.1%
OPM	0.8%	10.0%	12.3%	0.0%	7.3%	9.9%	0.8ppt	2.7ppt	2.5ppt
Net profit	496	1,803	2,349	418	1,523	2,123	18.8%	18.4%	10.7%
NPM	3.1%	8.7%	10.1%	2.7%	7.8%	9.0%	0.4ppt	1.0ppt	1.1ppt
LGES									
Revenue	29,962	35,373	40,474	29,229	36,152	41,843	2.5%	-2.2%	-3.3%
OP	1,500	4,275	6,423	1,379	3,649	5,733	8.8%	17.2%	12.0%
OPM	5.0%	12.1%	15.9%	4.7%	10.1%	13.7%	0.3ppt	2.0ppt	2.2ppt
Net profit	389	2,250	3,406	145	1,713	3,047	168.9%	31.3%	11.8%
NPM	1.3%	6.4%	8.4%	0.5%	4.7%	7.3%	0.8ppt	1.6ppt	1.1ppt

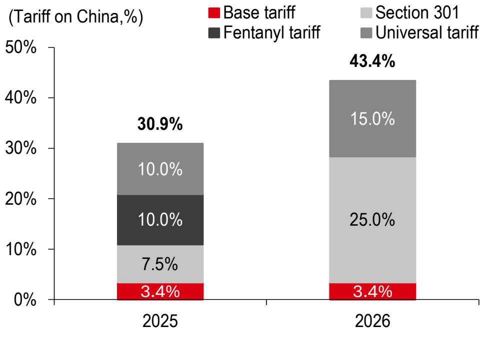
Source: Bloomberg consensus, HSBC estimates

Key downside risks

Key downside risks to our assumptions and estimates are regulatory changes. The most important ESS market for Korean battery makers is the US market. Accordingly, Korean battery makers will be negatively impacted if the US lowers tariffs for Chinese imported batteries. As for in Europe, delays in the implementation of the IAA (see Exhibits 31-32 for details) could result in slower-than-expected market share gains of Korea players for EV batteries in the EU.

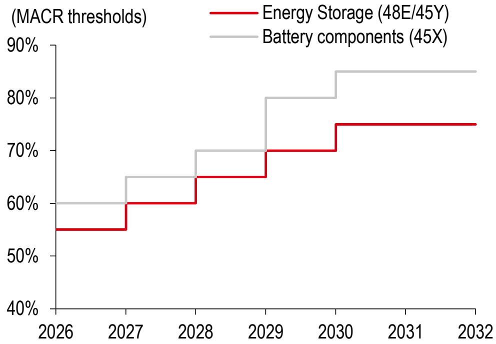
ESS boom – US structurally rotating towards Korean makers

Exhibit 5. US tariffs imposed on China-made batteries



Source: Press releases (Yonhap, 26 February 2026), HSBC

Exhibit 6. FEOC* restrictions enacted in the OBBBA



Source: The White House. Note: *FEOC – Foreign Entities of Concern. OBBBA – One Big Beautiful Bill Act.

Policy tailwinds to support Korean OEM inroads into the US ESS market

The implementation of the US "One Big Beautiful Bill Act" (OBBBA) is altering the global battery supply chain, creating distinct advantages for different players in the ESS market. The OBBBA imposes stricter limits on Chinese content for ITC (Investment Tax Credit) eligibility, which is reshaping the competitive environment. This policy environment is especially favourable for Korean OEMs, which are well-positioned to meet demand from AI data centres, while offering customers ways to mitigate geopolitical risks and maximise tax benefits.

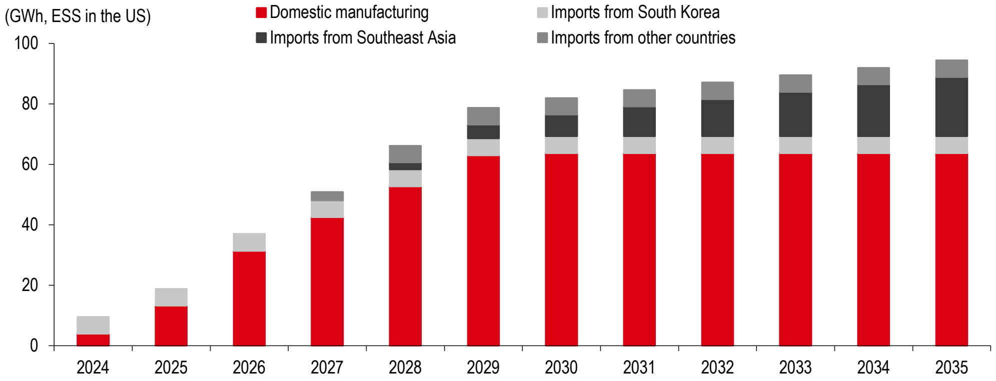
While China-made batteries have a lower base cost, they face: 1) tariffs (43.4%) and a lack access to 2) the 30% ITC, and 3) USD35-45/kWh AMPC benefits available to US-made batteries. Incorporating these three factors, we estimate that US-made batteries can lower total ESS project capex by 16% versus China-made alternatives. Although the Chinese option could be cheaper, if Chinese producers aggressively cut prices, the strategic security of US-based production makes Korean suppliers an increasingly attractive choice, in our view. Chinese suppliers are establishing new supply chains in Southeast Asia to reduce tariff risks.

Exhibit 7. Comparison of costs (post-ITC) for US/China-made ESS batteries

(USD/kWh)	US-made Korean batteries	China-made batteries
Battery pack cost	180	90
1) US tariff	**0.0%**	**43.4%**
Post-tariff cost	180	129
2) Sharing of AMPC (40% of USD45/kWh)	**18**	**0**
Battery cost after sharing AMPC	162	129
Total ESS capex (assuming non-battery cost of USD162/kWh)	322	267
3) Investment Tax Credits (ITC) of 30%	97	0
Total ESS capex after ITC	**225**	**267**

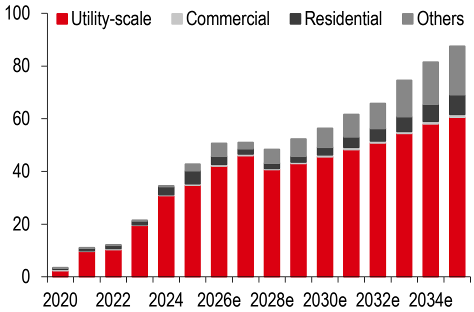
Source: HSBC estimates

Exhibit 8. Estimated availability of battery cells for utility-scale ESS in the US



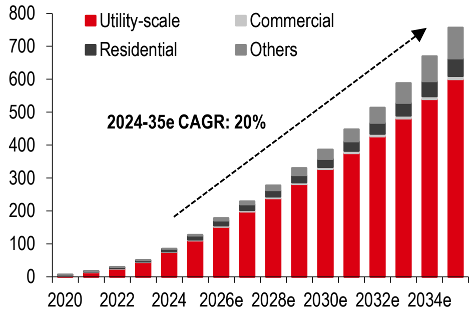
Source: BNEF estimates (November 2025)

Exhibit 9. US ESS annual build outlook



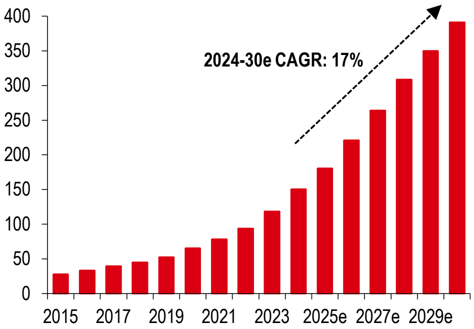
Source: BNEF estimates (November 2025)

Exhibit 10. US ESS capacity outlook



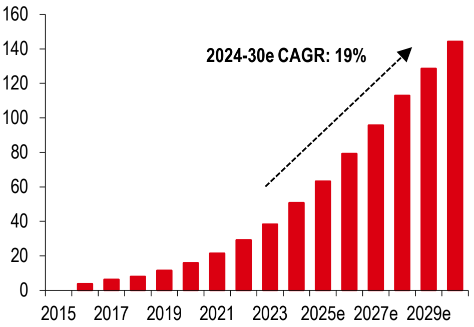
Source: BNEF estimates (November 2025)

Exhibit 11. US data centre energy demand



Source: BNEF estimates (December 2025)

Exhibit 12. ESS cumulative capacity for US data centres



Source: BNEF estimates (December 2025)

The high degree of manufacturing fungibility between EV and ESS cell architectures grants battery manufacturers the operational flexibility to pivot capacity from EVs to ESS. Equipped with a regional presence and production footprints amid policy tailwinds, Korean battery makers are focusing on the US market, the second largest ESS market following China. According to BNEF, cumulative ESS installations in the US are expected to reach 458GWh by 2030 (from 128GWh in 2025).

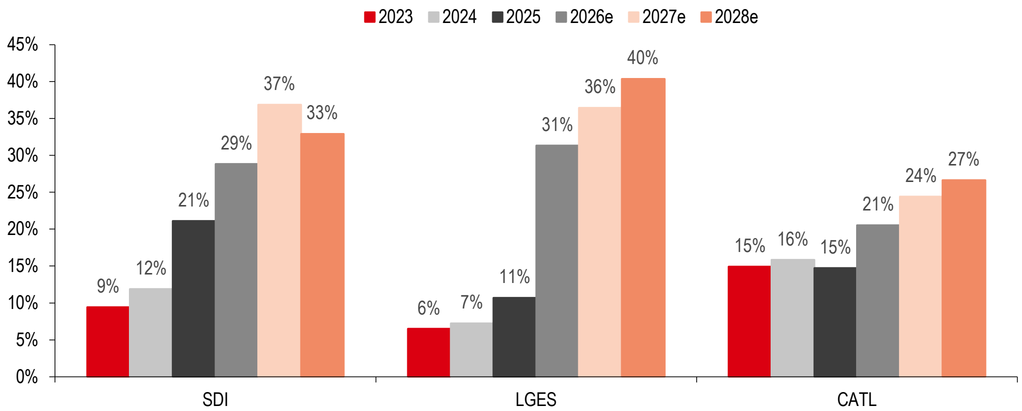
Exhibit 13. AIDC to contribute 25-31GWh of ESS demand in 2026-30e

Estimates	2026e	2027e	2028e	2029e	2030e
Average annual increase in AIDC power (GW)	**21.5**	**21.5**	**21.5**	**21.5**	**21.5**
Load covered by ESS (%)	27%	28%	29%	30%	30%
Weighted average energy storage duration (hours)	4.3	4.4	4.5	4.6	4.7
Average annual increase in AIDC ESS (GWh)	25.0	26.4	27.8	29.2	30.6
Breakdown					
Grid powered	**40%**	**38%**	**36%**	**34%**	**32%**
Covered load (GW)	8.6	8.2	7.7	7.3	6.9
Load covered by ESS (%)	23%	23%	23%	23%	23%
Energy storage duration (hours)	4	4	4	4	4
ESS installation (GWh)	7.7	7.4	7.0	6.6	6.2
Gas powered	**50%**	**52%**	**54%**	**56%**	**58%**
Covered load (GW)	10.8	11.2	11.6	12.1	12.5
Load covered by ESS (%)	28%	28%	28%	28%	28%
Energy storage duration (hours)	4	4	4	4	4
ESS installation (GWh)	12.1	12.6	13.1	13.6	14.0
Solar/wind powered	**1%**	**1%**	**2%**	**2%**	**3%**
Covered load (GW)	0.2	0.3	0.4	0.5	0.6
Load covered by ESS (%)	200%	200%	200%	200%	200%
Energy storage duration (hours)	8	8	8	8	8
ESS installation (GWh)	3.4	4.8	6.2	7.6	9.0
Nuclear/SOFC and others powered	**9%**	**9%**	**8%**	**8%**	**7%**
Covered load (GW)	1.9	1.9	1.8	1.7	1.6
Load covered by ESS (%)	23%	23%	23%	23%	23%
Energy storage duration (hours)	4	4	4	4	4
ESS installation (GWh)	1.7	1.7	1.6	1.5	1.4

Source: Wind, Energytech, Pacifico Energy, HSBC Qianhai Securities estimates (see *China Energy Storage: Gaining growth momentum*, 10 December 2025)

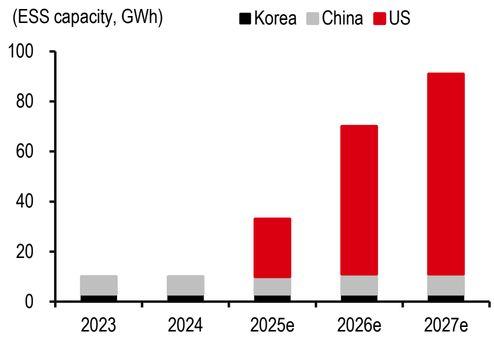
We believe structural ESS growth should also help bridge the EV demand gap. The fast-growing US market is structurally rotating towards Korean players, supported by: **1)** localised production, **2)** geopolitical supply risks, and **3)** policy tailwinds (tariffs, AMPC and ITC). We estimate that US-made Korean batteries can lower total ESS project capex by 16% versus China-made alternatives. Additionally, strategic security of US-based production makes Korean suppliers an increasingly attractive choice, in our view. In this regard, we expect Korean makers' market share of ESS in the US to show following expansion: 2025-28e at 10%, 37%, 51% and 63%, respectively, driving an earnings recovery and growth in the coming years.

Exhibit 14. ESS sales contribution to rise for major battery producers in 2026e on ESS boost and sluggish EV demand



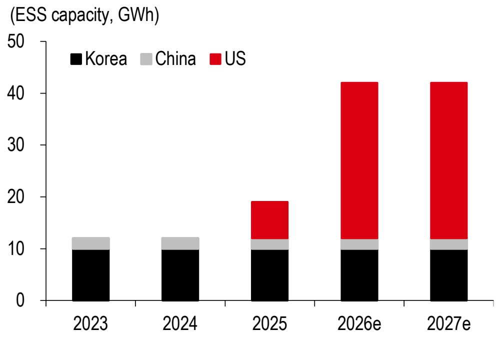
Source: Company data, HSBC estimates. Note: CATL (300750 CH, RMB414.80, Buy).

Exhibit 15. LGES: ESS capacity by region



Source: Company data, HSBC estimates

Exhibit 16. SDI: ESS capacity by region



Source: Company data, HSBC estimates

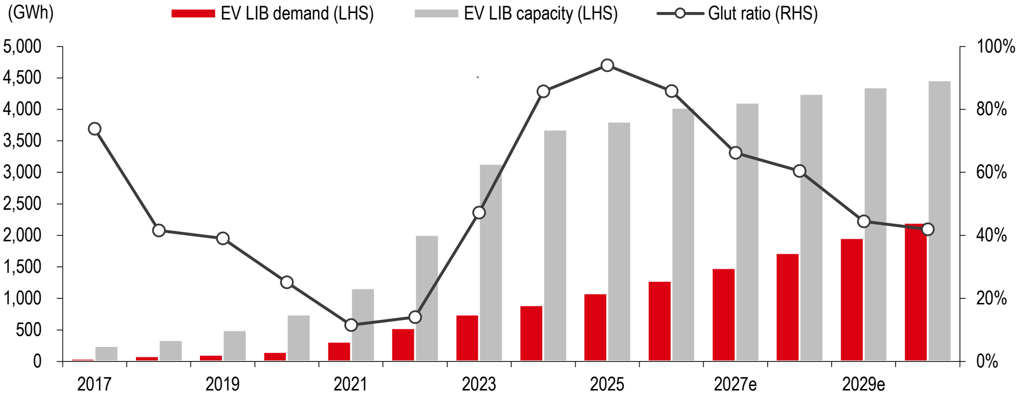
Exhibit 17. ESS opportunity in the US for Korean battery makers

(US ESS, GWh)	2025	2026e	2027e	2028e	2029e	2030e
ESS battery shipments	**90.0**	**90.5**	**124.2**	**139.8**	**147.7**	**158.4**
Utility-scale	78.3	83.4	107.3	119.1	126.7	131.8
Commercial	1.1	1.2	1.5	0.9	1.0	1.3
Residential	10.4	5.8	5.2	4.0	4.0	5.7
Others	0.1	0.0	10.2	15.8	16.0	19.6
ESS capacity of Korean battery makers in the US	**30.0**	**89.0**	**115.0**	**124.0**	**133.0**	**133.0**
LGES	23.0	59.0	80.0	84.0	84.0	84.0
SDI	7.0	30.0	30.0	30.0	39.0	39.0
SK On	0.0	0.0	5.0	10.0	10.0	10.0
Utilisation rate at US capacity	**29%**	**37%**	**55%**	**70%**	**84%**	**88%**
LGES	33%	47%	50%	68%	88%	88%
SDI	17%	18%	75%	85%	85%	90%
SK On			20%	30%	50%	80%
Shipments of Korean battery makers	**8.8**	**33.2**	**63.4**	**87.4**	**111.7**	**116.6**
LGES	7.6	27.9	39.9	57.4	73.5	73.5
SDI	1.2	5.3	22.5	27.0	33.2	35.1
SK On			1.0	3.0	5.0	8.0
Market share of Korean battery makers	**10%**	**37%**	**51%**	**63%**	**76%**	**74%**
LGES	8%	31%	32%	41%	50%	46%
SDI	1%	6%	18%	19%	22%	22%
SK On	0%	0%	1%	2%	3%	5%
ASP (USD/kWh) assumption	**150**	**159**	**160**	**152**	**145**	**138**
ESS sales of Korean battery makers (USDm)	**1,319**	**5,295**	**10,166**	**13,312**	**16,164**	**16,037**
LGES	1,140	4,448	6,397	8,740	10,641	10,109
SDI	179	847	3,609	4,115	4,799	4,827
SK On	0	0	160	457	724	1,100
OPM assumption (excluding AMPC)	**-6%**	**2%**	**6%**	**7%**	**8%**	**8%**
LGES	-6%	2%	7%	9%	9%	9%
SDI	-1%	3%	3%	5%	7%	9%
SK On			-5%	0%	1%	2%
Combined OP excluding AMPC (USDm)	**-76**	**117**	**573**	**955**	**1,256**	**1,323**
LGES	-74	94	471	757	922	876
SDI	-3	24	110	197	326	425
SK On	0	0	-8	0	7	22
AMPC (USDm) based on USD45/kWh	**238**	**897**	**1,711**	**2,358**	**3,015**	**3,148**
LGES	206	754	1,077	1,548	1,985	1,985
SDI	32	144	608	729	895	948
SK On			27	81	135	216
Combined OP including AMPC (USDm)	**162**	**1,015**	**2,284**	**3,313**	**4,270**	**4,471**
LGES	132	847	1,548	2,306	2,907	2,861
SDI	30	167	718	926	1,221	1,372
SK On	0	0	19	81	142	238
OPM assumption (including AMPC)	**12%**	**19%**	**22%**	**25%**	**26%**	**28%**
LGES	12%	19%	24%	26%	27%	28%
SDI	17%	20%	20%	23%	25%	28%
SK On			12%	18%	20%	22%

Source: BNEF, Company data, HSBC estimates. Note: In this analysis, we do not take into account the potential AMPC sharing with customers in the form price reductions.

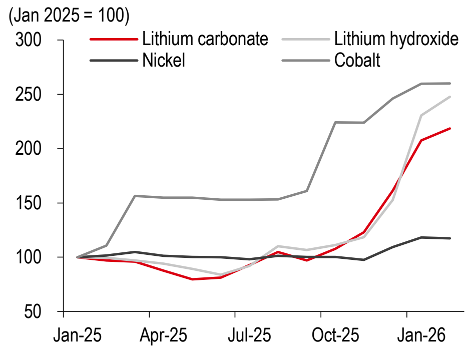
EV reset with sentiment set to turn

Exhibit 18. EV battery oversupply peaked in 2025; the worst is now over



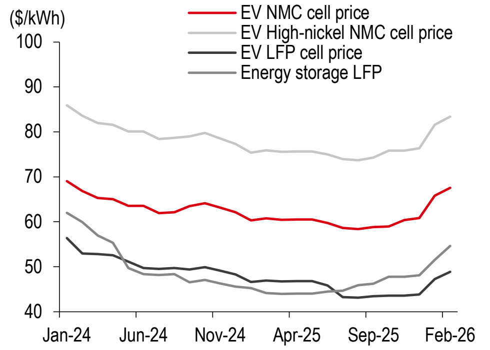
Source: Rho Motion, HSBC estimates

Exhibit 19. China battery metal prices surged on supply discipline and solid ESS demand



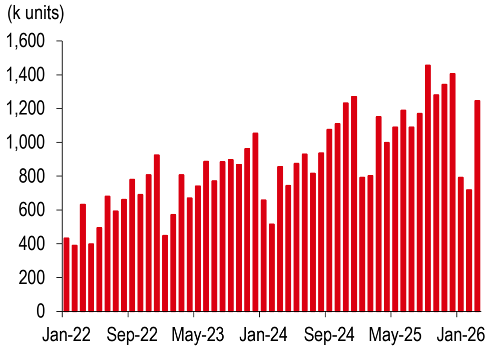
Source: Asian Metal, London Metal Exchange, BNEF

Exhibit 20. Battery cell prices in China also rebounded on higher metal prices



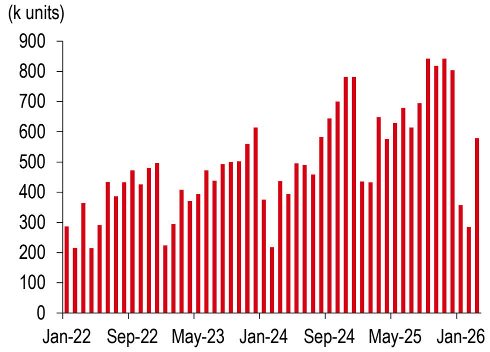
Source: ICC Battery, BNEF

Exhibit 21. Monthly BEV sales trend (Global)



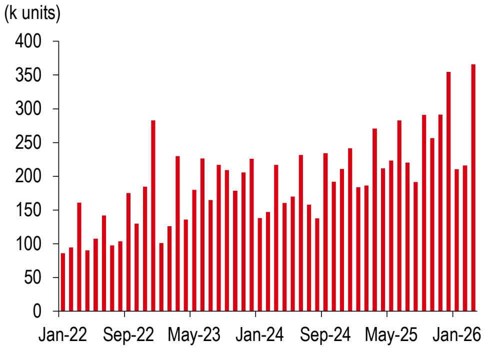
Source: Rho Motion

Exhibit 22. Monthly BEV sales trend (China)



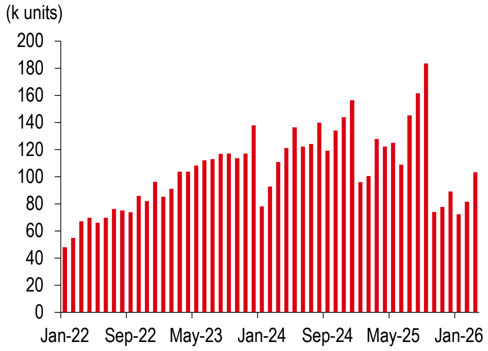
Source: Rho Motion

Exhibit 23. Monthly BEV sales trend (Europe)



Source: Rho Motion

Exhibit 24. Monthly BEV sales trend (North America)



Source: Rho Motion

Exhibit 25. HSBC estimates for global BEV/PHEV sales

(million units)	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e
Europe LV	**12.9**	**14.7**	**14.9**	**15.1**	**15.2**	**15.2**	**15.5**	**15.8**	**15.6**	**15.6**	**15.7**	**15.9**	**16.0**	**16.2**
BEV	1.6	2.1	2.1	2.7	3.5	4.3	5.2	6.2	7.0	8.3	9.8	11.2	12.7	14.2
PHEV	1.0	1.0	0.9	1.3	1.7	1.8	1.9	2.1	2.3	2.1	1.9	1.8	1.6	1.5
NA LV	**16.5**	**18.7**	**19.5**	**19.9**	**19.3**	**19.5**	**19.8**	**20.1**	**20.0**	**20.2**	**20.4**	**20.6**	**20.8**	**21.0**
BEV	0.9	1.3	1.5	1.4	1.1	1.2	1.4	1.6	1.9	2.3	3.0	4.0	5.1	6.1
PHEV	0.2	0.3	0.4	0.5	0.4	0.4	0.5	0.6	0.7	0.9	1.0	1.4	1.7	2.0
China LV	**24.1**	**25.5**	**25.9**	**27.5**	**27.5**	**27.5**	**27.8**	**28.2**	**28.6**	**28.9**	**29.2**	**29.5**	**29.8**	**30.1**
BEV	4.5	5.3	6.4	8.0	9.2	10.3	11.4	12.4	13.3	14.6	16.0	17.4	18.9	22.4
PHEV	1.5	2.6	4.6	4.9	6.1	6.8	7.6	8.2	8.8	8.5	8.1	7.7	7.2	7.4
Non-triad LV	**25.4**	**27.7**	**28.3**	**29.6**	**29.5**	**30.4**	**31.5**	**32.4**	**33.2**	**33.5**	**33.8**	**34.2**	**34.5**	**34.9**
BEV	0.5	0.8	1.1	1.6	2.0	2.2	2.6	3.2	3.9	4.7	5.5	6.3	7.2	8.3
PHEV	0.1	0.2	0.2	0.4	0.6	0.7	0.8	0.9	1.1	1.2	1.4	1.5	1.6	1.8
Global LV	**78.9**	**86.6**	**88.6**	**92.1**	**91.5**	**92.7**	**94.5**	**96.5**	**97.4**	**98.2**	**99.2**	**100.2**	**101.2**	**102.2**
BEV	7.5	9.5	11.0	13.8	15.7	17.9	20.5	23.4	26.1	30.0	34.2	38.9	43.9	50.9
PHEV	2.8	4.1	6.2	7.0	8.8	9.7	10.8	11.8	12.9	12.7	12.5	12.4	12.2	12.7
Penetration														
Global BEV	9.5%	11.0%	12.4%	14.9%	17.2%	19.3%	21.7%	24.2%	26.8%	30.6%	34.4%	38.8%	43.4%	49.9%

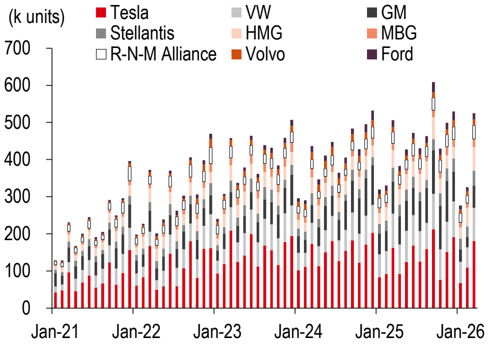
Source: HSBC. Note: See EV Global Roadmap: High oil price provides tailwind to adoption, but not a spike, 12 May 2026.

Exhibit 26. HSBC estimates for global BEV/PHEV sales versus Rho Motion estimates

(%)	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e
Global BEV														
HSBCe	9.9	11.6	12.7	14.9	17.2	19.3	21.7	24.2	26.8	30.6	34.4	38.8	43.4	49.9
Rho Motion	9.6	11.2	12.6	15.1	16.1	17.8	20.4	23.3	26.7	29.5	32.7	35.6	39.2	43.2
vs Rho Motion	0.3%	0.4%	0.1%	-0.2%	1.1%	1.5%	1.3%	0.9%	0.1%	1.1%	1.8%	3.2%	4.2%	6.6%
Europe BEV														
HSBCe	12.8	14.6	14.1	18.1	23.0	28.0	33.5	39.0	45.0	53.5	62.0	70.5	79.0	87.5
Rho Motion	12.7	14.4	14.2	18.2	21.0	24.4	28.1	31.5	38.9	44.2	52.5	54.9	59.9	67.6
vs. Rho Motion	0.1%	0.2%	-0.1%	0.0%	2.0%	3.6%	5.4%	7.5%	6.1%	9.3%	9.5%	15.6%	19.1%	19.9%
NA BEV														
HSBCe	5.8	7.5	8.1	7.1	5.4	6.1	7.0	8.1	9.4	11.6	14.5	19.3	24.6	28.9
Rho Motion	5.2	7.1	7.6	7.1	5.4	6.1	7.0	8.1	9.4	11.6	14.5	19.3	24.6	28.9
vs. Rho Motion	0.5%	0.4%	0.6%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
China BEV														
HSBCe	20.1	23.0	25.6	29.1	33.6	37.3	41.0	43.8	46.4	50.5	54.7	59.0	63.4	74.5
Rho Motion	19.5	21.7	25.7	30.3	32.4	35.6	41.2	47.0	51.8	54.4	56.7	59.2	61.9	65.4
vs. Rho Motion	0.6%	1.4%	-0.1%	-1.2%	1.2%	1.7%	-0.2%	-3.2%	-5.4%	-3.9%	-2.0%	-0.3%	1.4%	9.1%

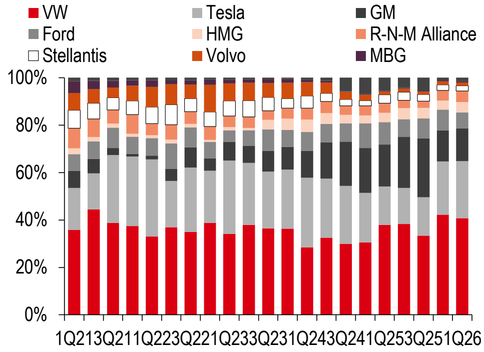
Source: Rho Motion, HSBC estimates. Note: See EV Global Roadmap: High oil price provides tailwind to adoption, but not a spike, 12 May 2026.

Exhibit 27. Monthly EV sales trends of LGES' major customers



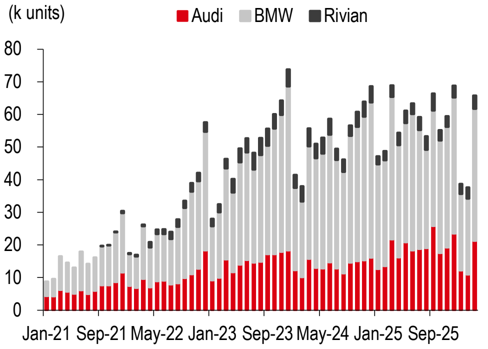
Source: Rho Motion, HSBC. Note: Tesla (TSLA US, USD435.79, Reduce), VW (VOW GR, EUR93.85, Buy), Hyundai Motor (005380 KS, KRW723,000, Buy), Kia (000270 KS, KRW169,200, Buy), Mercedes-Benz (MBG GR, EUR52.19, Buy), Renault (RNO FP, EUR29.59, Buy), Stellantis (STLAM IM, EUR6.87, Hold), Volvo Car (VOLCARB SS, SEK23.91, Hold), Ford (F US, USD17.44, Hold). Priced as at 29 May 2026.

Exhibit 28. LGES EV battery customer mix



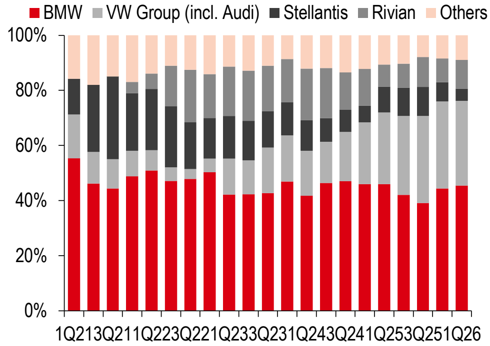
Source: Rho Motion, HSBC

Exhibit 29. Monthly EV sales trend of SDI's major customers



Source: Rho Motion. Note: Rivian (RIVN US, USD16.30, Not Rated). Priced as at 29 May 2026.

Exhibit 30. SDI's EV battery customer mix



Source: Rho Motion

Regulatory tailwinds in Europe to provide a relief

On 4 March 2026, the European Commission (EC) proposed the Industrial Accelerator Act (IAA) to revitalise the region's manufacturing base, targeting a 20% GDP share by 2035. The IAA introduces "Industrial Manufacturing Acceleration Areas" to provide fast-track permitting for strategic sectors. To ensure economic security, the IAA implements strict "Made in EU" criteria for public support schemes and imposes safeguards to foreign direct investments. Notably, for investments from countries controlling over 40% of global capacity in strategic sectors, including batteries, the IAA mandates local content requirements and a guarantee that at least 50% of the workforce are EU workers.

The IAA proposal defines "Made in EU" batteries as those incorporating at least three key regional components, including locally produced cells. By 2030, this requirement is set to expand to five components, notably including cathode active materials and battery management systems (BMS). Furthermore, EVs will be mandated to utilise green steel and ensure that 70% of their total components, excluding the battery, are of EU origin, according to the current proposal.

For battery material manufacturers, these mandates transform localisation into a regulatory necessity. In this context, the IAA would provide a significant regulatory relief to Korea EV battery makers as they already have well-established production plants, which would serve as a key advantage.

Exhibit 31: Summary of the EU's Industrial Accelerator Act (IAA)

Scope	Implementation	Requirements
EV	T+6 months	Final assembly in the EU + 70%-plus non-battery parts should be local content
EV Battery	T+6 months	Minimum 3 core components should be EU origin
	T+3 years	Minimum 5 core components should be EU origin (including cell, CAM, BMS)
BESS	T+1 year	For public procurement (1MWh-plus), BMS must be EU made

Source: European Commission (EC)

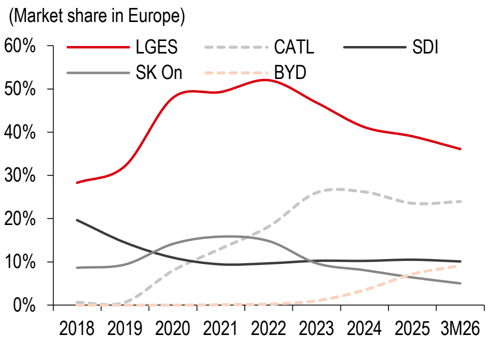
Furthermore, the implementation of the Critical Raw Materials Act (CRMA) and the Trade and Cooperation Agreement (TCA) between the EU and the UK adds another layer of regulatory necessity for localised production. The CRMA targets a significant reduction in dependence by capping the import threshold at 65% from a single third country, while mandating that at least 40% of strategic raw materials be processed within the EU by 2030. In addition, the TCA imposes a 10% tariff on EVs traded between the EU and the UK if the proportion of EU/UK-originating parts falls below 55% starting from 2027.

Exhibit 32: Regulations in Europe to facilitate localised productions for EV supply chains

Regulation	Key objectives/benchmarks
CRMA	Aim to strengthen the EU's critical raw materials capacities along all stages of the value chain - Targeting at least 40% of the EU's annual consumption for processing by 2030 - Targeting at least 15% of the EU's annual consumption for recycling by 2030 - Targeting no more than 65% of the EU's annual consumption of each strategic raw material at any relevant stage of processing from a single third country
TCA	TCA requirements for content originating in the EU/UK will be revised as shown below from 2027 - For EVs, EU/UK-originating parts should be at least 55% of the content (from 45%) - For battery packs, EU/UK-originating parts should be at least 70% of the content (from 60%) - For battery cells, EU/UK-originating parts should be at least 65% of the content (from 50%)

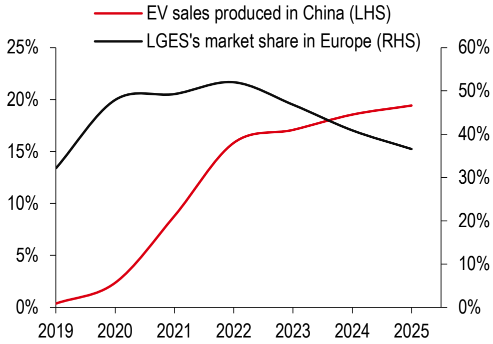
Source: European Commission (EC), European Parliamentary Research Service, HSBC

Exhibit 33. EV battery market share in Europe: Chinese players took share, while LGES decreased from 2023



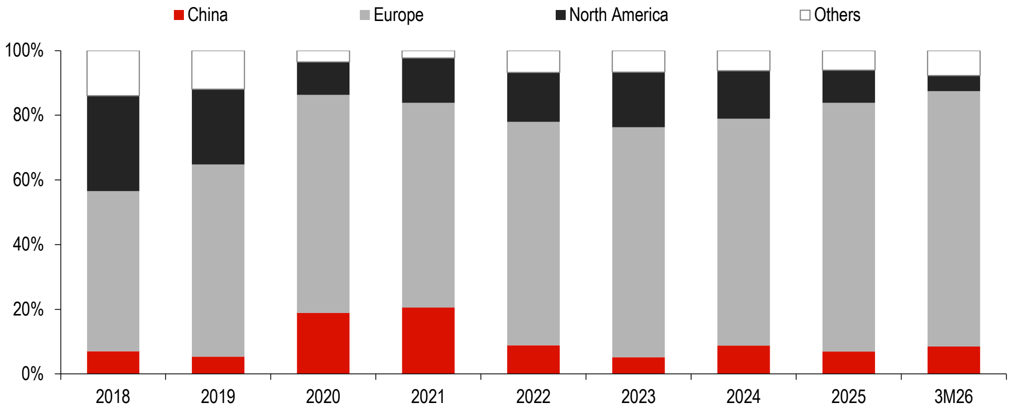
Source: Rho Motion, HSBC

Exhibit 34. LGES' market share decline in Europe amid growing China-made EVs



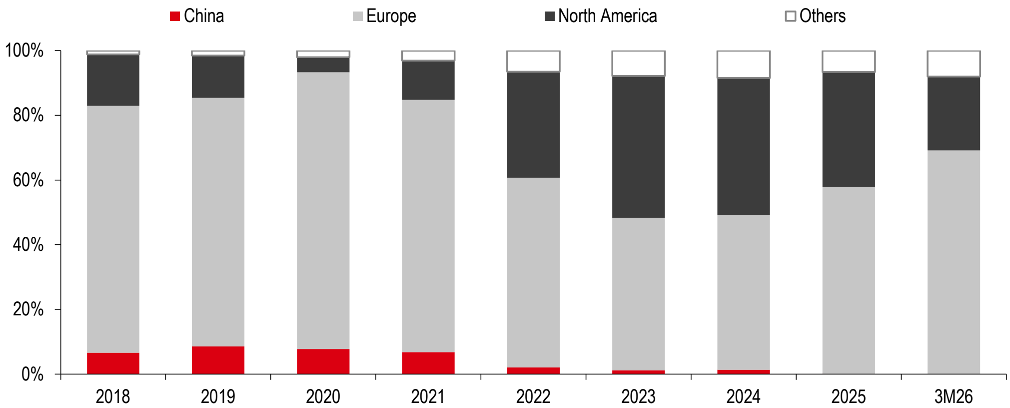
Source: Rho Motion, HSBC

Exhibit 35. LGES: EV battery shipments by region – higher exposure to Europe



Source: Rho Motion, HSBC

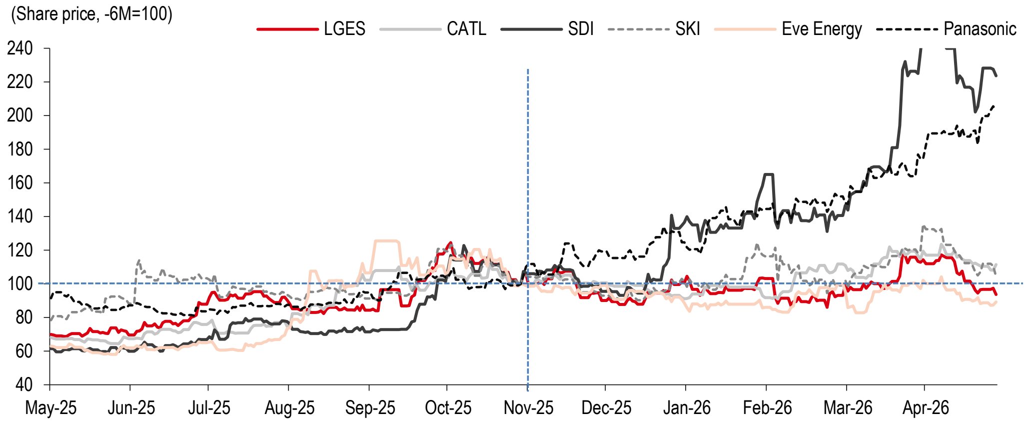
Exhibit 36. SDI: EV battery shipments by region – higher exposure to Europe



Source: Rho Motion, HSBC

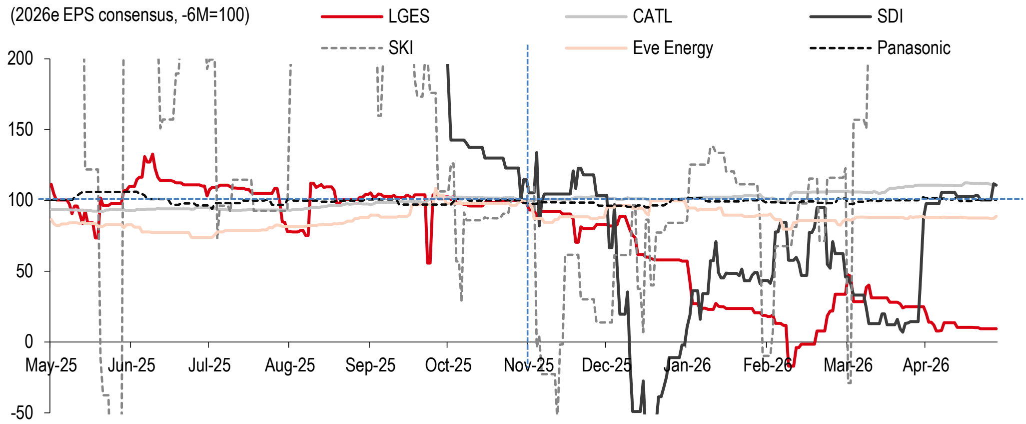
Negative catalysts are already priced in

Exhibit 37. Share price performance of major EV/ESS battery stocks: improving sentiment on Korean battery stocks over the past six months



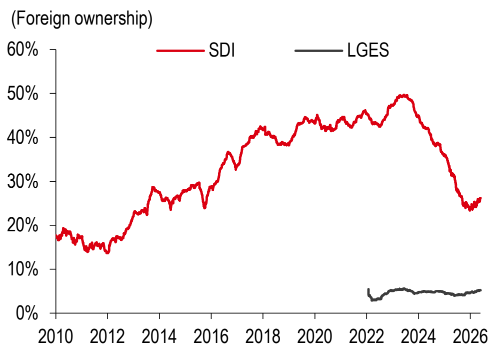
Source: Bloomberg. Note: SKI (096770 KP, KRW119,200, Reduce), Eve Energy (300014 CH, RMB63.68, Buy), Panasonic (6752 JT, JPY3,700.0, Not Rated). Priced as at 29 May 2026.

Exhibit 38. 2026e consensus EPS trend of major EV/ESS battery stocks: significant cut to consensus estimates for Korean battery producers



Source: Bloomberg

Exhibit 39. Foreign ownership trend for Korean EV proxies

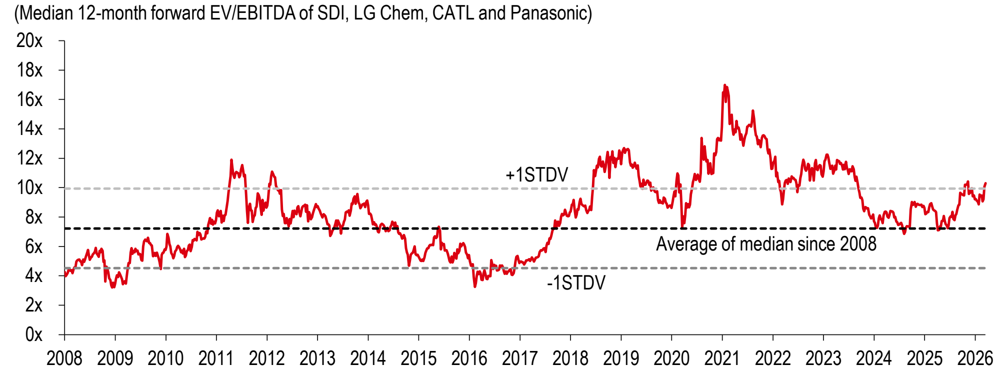


Source: QuantiWise

Exhibit 40. Foreign ownership of LGES rebounded, SDI remains low from the fall from the peak in June 2023

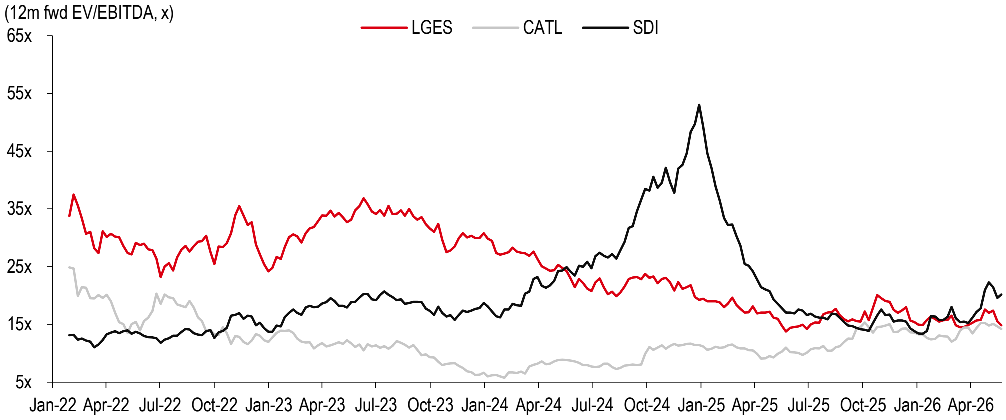
Source: QuantiWise

Exhibit 41. Average 12-month forward EV/EBITDA of major battery supply chain stocks



Source: Bloomberg. Note: Battery supply chain companies include Samsung SDI, LG Chem, CATL and Panasonic.

Exhibit 42. The 12-month forward EV/EBITDA gap between LGES, SDI and CATL has narrowed

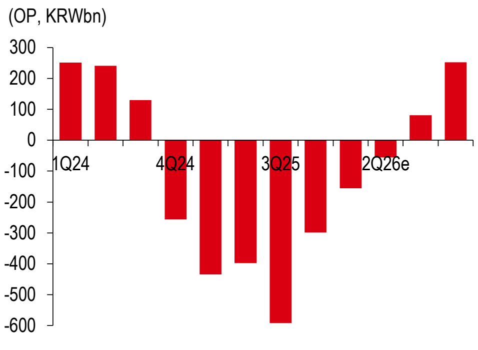


Source: Bloomberg

Samsung SDI (006400 KP, Buy, TP KRW900,000 from KRW520,000)

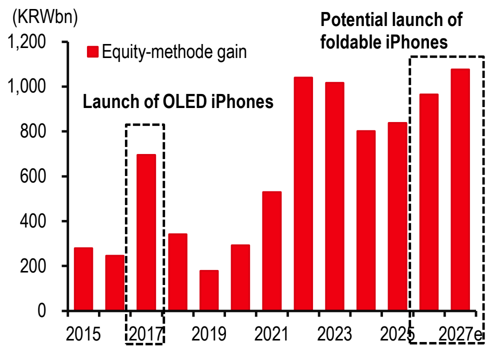
- **Set to capture the ESS boom:** We think SDI stands as the preferred vehicle for the powerful "ESS upcycle" market narrative, uniquely positioned to capture the structural rotation towards high-density power solutions, driven by the rapid expansion of AIDC. SDI's current ESS capacity in the US is 7GW (NCA chemistry); we expect additional ESS new order intakes as the company is in the process of converting its US lines to LFP ESS production (12GW in 3Q26e and an additional 11GW in 1Q27e). We think the fast ramp-up of LFP ESS production in the US will drive earnings growth in the coming years. In this regard, we estimate SDI's ESS revenue contribution to increase from 21% in 2025 to 37% by 2027e with an ESS OP contribution of 390%, 82% and 74% in 2026-28e, respectively. Furthermore, the strategic monetisation of its 15.2% stake in Samsung Display (SDC) could support market perception changes regarding the company's conservative investment strategy.
- **Prismatic strength:** Samsung SDI is well-known for the prismatic form factor, which is well-suited for technologies, such as CTP. ESS integrators are also more familiar with the prismatic form factor as it is the dominant form factor used by Chinese battery producers. Accordingly, we think SDI is well-positioned to capture rising demand in US ESS. Additionally, global auto OEMs are also shifting towards prismatic batteries, which offers a unique advantage to SDI. SDI will be supplying prismatic battery to Korea Auto OEMs in the EU from 2Q26, according to the company.
- **Small battery turnaround:** We anticipate a sharp recovery in small battery operating profit, turning profitable in 2H26e, fuelled by surging demand for high-margin battery back-up units (BBUs) and uninterruptible power supplies (UPS). Management expects the BBU market to show 70% growth in 2026 and expects SDI's growth to surpass the market growth. Additionally, strong demand in high-end power tools should also be margin accretive for the small battery division.
- **Maintain Buy and raise target price to KRW900k (from KRW520k):** We lower our 2026-27e OP estimates by 10.5% and 8.3%, respectively, as we reflect the initial ramp-up costs of the new ESS lines amid ongoing weakness at the EV battery division. Nonetheless, we are lifting our 2028e sales and OP estimates by 5% and 24%, respectively, as we see ongoing margin improvements at the EV battery division with shipments towards new projects from 2H27e and 2028e amid ongoing strength at the ESS battery division. Our 2027-28e OP estimates are 44% and 23% above Bloomberg consensus, respectively. We raise our target price by 73% to KRW900k (from KRW520k) as we lift the value of the battery division by 87% after incorporating our revised 10-year DCF model (from our 6-year DCF model). See page 25 for the full **valuation** and **key downside risks**.

Exhibit 43. SDI: Quarterly OP should have bottomed, and we see sequential growth until 4Q26e



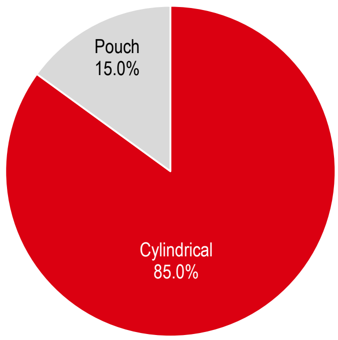
Source: Company data, HSBC estimates

Exhibit 44. SDI: Strong growth in equity-method gains from SDC



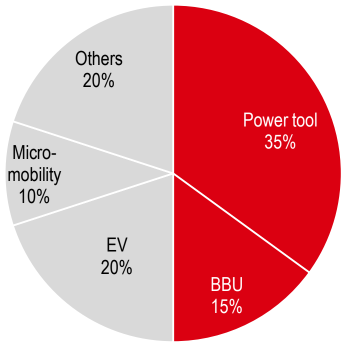
Source: Company data, HSBC estimates

Exhibit 45. SDI: Small battery sales breakdown by form factor



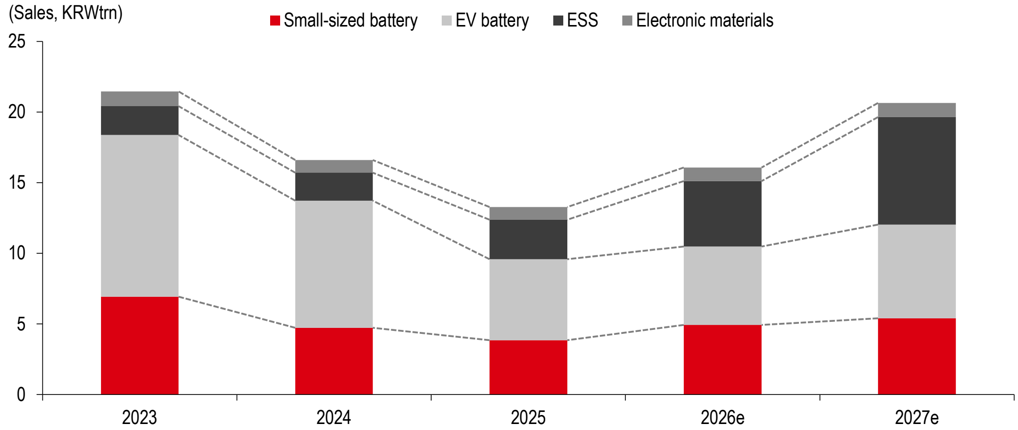
Source: Company data, HSBC estimates

Exhibit 46. SDI: Cylindrical battery sales breakdown by application



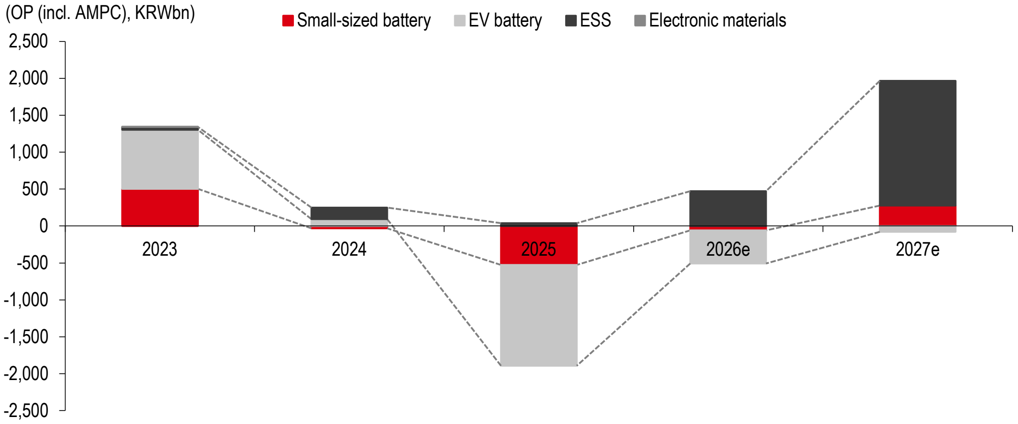
Source: Company data, HSBC estimates

Exhibit 47. SDI: ESS to drive overall sales growth in 2026e and 2027e



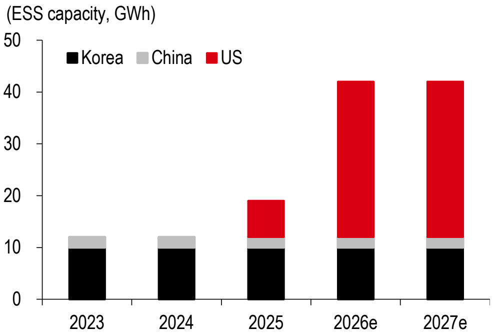
Source: Company data, HSBC estimates

Exhibit 48. SDI: ESS to drive overall OP growth in 2026e and 2027e



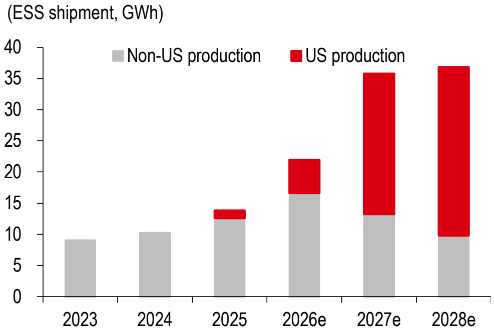
Source: Company data, HSBC estimates

Exhibit 49. SDI: ESS capacity by region



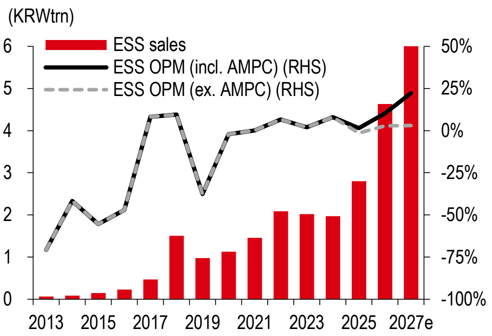
Source: Company data, HSBC estimates

Exhibit 50. SDI: ESS shipment growth driven by US local production



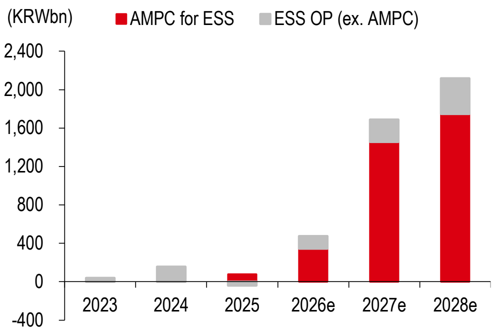
Source: Company data, HSBC estimates

Exhibit 51. SDI: ESS sales and OPM



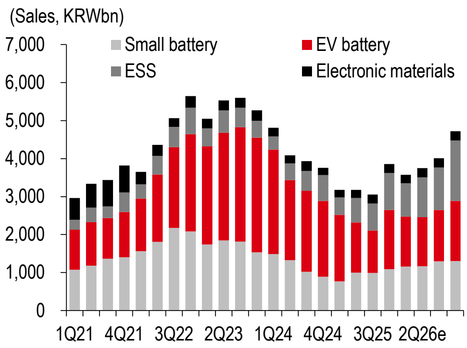
Source: Company data, HSBC estimates

Exhibit 52. SDI: ESS OP and AMPC



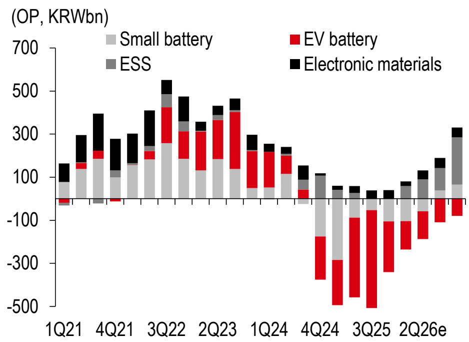
Source: Company data, HSBC estimates

Exhibit 53. SDI: Top-line breakdown



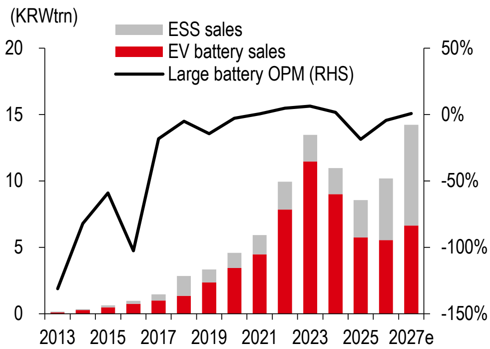
Source: Company data, HSBC estimates

Exhibit 54. SDI: OP breakdown



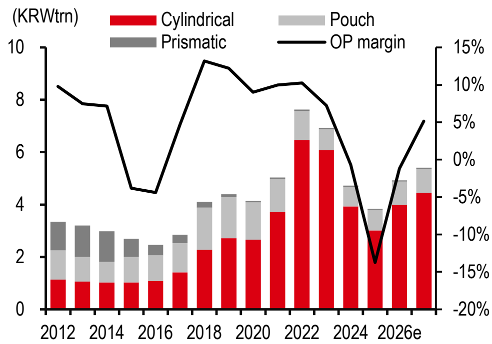
Source: Company data, HSBC estimates

Exhibit 55. SDI: Large battery earnings



Source: Company data, HSBC estimates

Exhibit 56. SDI: Cylindrical batteries to drive small battery sales growth



Source: Company data, HSBC estimates

Exhibit 57. SDI: AMPC estimates

	2025	2026e	2027e	2028e
Capacity (GWh)	**14.8**	**23.0**	**43.0**	**43.0**
SDIA (Battery pack, Michigan)	5.0	5.0	5.0	5.0
StarPlus #1 (Stellantis JV, 8GWh, Indiana) - module	8.0	8.0	8.0	8.0
StarPlus #1 (ESS, 30GWh, Indiana) - module	1.8	10.0	30.0	30.0
GM JV (40GWh, Indiana) - cell	0.0	0.0	0.0	0.0
StarPlus #2 (Stellantis JV, 34GWh, Indiana) - module	0.0	0.0	0.0	0.0
Utilisation rate (%) - proxy of sales to capacity ratio	**39%**	**38%**	**59%**	**70%**
SDIA (Battery pack, Michigan)	37%	38%	60%	60%
StarPlus #1 (Stellantis JV, 8GWh, Indiana) - module	33%	19%	0%	0%
StarPlus #1 (ESS, 30GWh, Indiana) - module	68%	53%	75%	90%
GM JV (40GWh, Indiana) - cell				
StarPlus #2 (Stellantis JV, 34GWh, Indiana) - module				
Shipments (GWh) - period sum	**5.7**	**8.8**	**25.5**	**30.0**
SDIA (Battery pack, Michigan)	1.8	1.9	3.0	3.0
StarPlus #1 (Stellantis JV, 8GWh, Indiana) - module	2.7	1.5	0.0	0.0
StarPlus #1 (ESS, 30GWh, Indiana) - module	1.2	5.3	22.5	27.0
GM JV (40GWh, Indiana) - cell	0.0	0.0	0.0	0.0
StarPlus #2 (Stellantis JV, 34GWh, Indiana) - module	0.0	0.0	0.0	0.0
Production subsidy (USDm)	**191.7**	**327.6**	**1,042.5**	**1,245.0**
Module/pack assembly (USD10/kWh)	18.3	19.1	30.0	30.0
Battery cell (USD35/kWh)	0.0	0.0	0.0	0.0
Battery module (USD45/kWh)	173.5	308.5	1,012.5	1,215.0
Total (KRWbn) - reflected in OP	**275.0**	**471.4**	**1,500.2**	**1,791.6**
JV	249.1	443.9	1,457.0	1,748.4
Standalone	25.9	27.5	43.2	43.2
Sharing with JV partner (5:5) in NP (ex. Minority portion)	124.6	221.9	728.5	874.2
Net NP impact (KRWbn)	**150.4**	**249.5**	**771.7**	**917.4**
vs. OP impact	55%	53%	51%	51%

Source: Company data, HSBC estimates

Exhibit 58. SDI: Earnings trend and outlook

(KRWbn)	1Q26a	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025a	2026e	2027e	2028e
Revenue	**3,576**	**3,749**	**4,014**	**4,723**	**4,812**	**4,965**	**5,200**	**5,663**	**13,267**	**16,062**	**20,639**	**23,292**
Energy solution	3,354	3,509	3,762	4,477	4,570	4,718	4,941	5,409	12,384	15,102	19,638	22,262
Small battery	1,158	1,167	1,295	1,302	1,326	1,330	1,360	1,388	3,838	4,923	5,404	5,863
EV battery	1,318	1,288	1,357	1,587	1,363	1,491	1,683	2,091	5,746	5,550	6,627	8,734
ESS	878	1,054	1,110	1,587	1,882	1,898	1,898	1,930	2,800	4,630	7,607	7,666
Electronic materials	222	240	252	247	242	247	259	254	883	960	1,001	1,030
Operating profit	**-156**	**-56**	**81**	**252**	**381**	**473**	**563**	**651**	**-1,722**	**121**	**2,068**	**2,873**
Energy solution	-177	-97	34	206	342	431	512	604	-1,852	-34	1,888	2,686
Small battery	-104	-58	39	65	53	66	82	76	-528	-59	277	331
EV battery	-132	-129	-109	-79	-82	-30	-8	42	-1,362	-448	-78	240
ESS	59	90	103	220	371	394	439	486	39	473	1,689	2,116
Electronic materials	21	41	47	46	39	42	51	47	130	155	179	187
OP margin	**-4%**	**-1%**	**2%**	**5%**	**8%**	**10%**	**11%**	**12%**	**-13%**	**1%**	**10%**	**12%**
Energy solution	-5%	-3%	1%	5%	7%	9%	10%	11%	-15%	0%	10%	12%
Small battery	-9%	-5%	3%	5%	4%	5%	6%	6%	-14%	-1%	5%	6%
EV battery	-10%	-10%	-8%	-5%	-6%	-2%	-1%	2%	-24%	-8%	-1%	3%
ESS	7%	9%	9%	14%	20%	21%	23%	25%	1%	10%	22%	28%
Electronic materials	9%	17%	19%	19%	16%	17%	20%	19%	15%	16%	18%	18%

Source: Company data, HSBC estimates

Exhibit 59. SDI: Scenario analysis on changes in 2026e OP depending on ESS sales growth and OPM

Impact on 2026e OP		ESS sales growth y-o-y (2026e)				
		59%	62%	65%	68%	71%
ESS OPM (2026e)	8.2%	-88%	-82%	-76%	-71%	-65%
	9.2%	-51%	-45%	-38%	-32%	-25%
	10.2%	-14%	-7%	0%	7%	14%
	11.2%	23%	30%	38%	46%	54%
	12.2%	59%	68%	76%	85%	93%

Source: Company data, HSBC estimates

Exhibit 60. SDI: Sum-of-the-parts (SOTP) valuation approach

(KRWbn)	2027e EBITDA	Target EV/EBITDA	EV	% of total EV	Notes
Battery			64,541	92.9%	
- Small battery	608	12.0x	7,297	10.5%	Average multiple of battery peers during 2018-20
- Large battery (EV & ESS)			57,244	82.4%	Based on our DCF analysis applying a WACC of 7.7%
Electronic materials	233	5.8x	1,354	1.9%	Average historical multiple of electronic material peer during 2005-08
Operating value			**65,895**	94.9%	
Non-marketable securities					
Samsung Display (unlisted)			12,099	17.4%	2026e BVPS estimate of Samsung Display (HSBCe)
Other non-marketable securities			379	0.9%	
Marketable securities					Note (below all based on market prices)
Samsung E&A			1,175	1.7%	11.7% ownership (028050 KP, KRW51,300, Buy)
Samsung Heavy			109	0.2%	0.4% ownership (010140 KP, KRW29,450, Not Rated)
S1			289	0.4%	11.0% ownership (012750 KP, KRW68,900, Not Rated)
Hotel Shilla			2	0.0%	0.1% ownership (008770 KP, KRW54,700, Hold)
Investment asset value			**13,662**	19.7%	Reflect a holding company discount of 20%
Net debt (net cash)			10,090		2027e net debt
Equity value			**69,467**		
Number of shares ('000 shares)			77,254		Excluding treasury stocks
Target price (KRW)			**900,000**		

Source: Bloomberg, HSBC estimates. Note: Priced as at 29 May 2026.

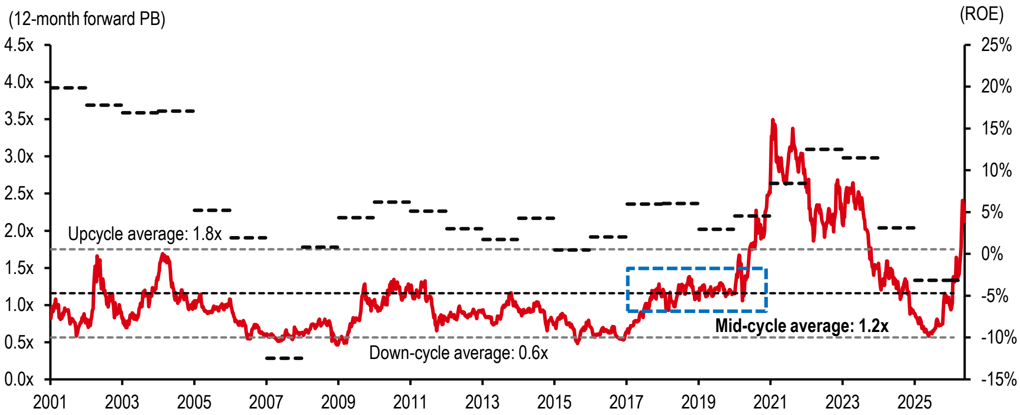
Exhibit 61. SDI: Changes to sum-of-the-parts (SOTP) components

(KRWbn)	New	Old	Change
Battery*	64,541	34,490	87%
- Small-size battery	7,297	4,032	81%
- EV battery (including ESS)	57,244	30,458	88%
Electronic materials	1,354	2,144	-37%
Operating value	**65,895**	**36,634**	**80%**
Investment asset value	13,662	12,939	6%
Net cash (net debt)	10,090	9,268	9%
Equity value	**69,467**	**40,305**	**72%**

Source: HSBC estimates. Note: *Revised DCF valuation from a 6-year model (2025-30e PV of FCF) to a 10-year model (2026-35e PV of FCF).

Our target price of KRW900k implies a 2026-27e EV/EBITDA multiple of 22.7x and 11.8x, respectively.

Exhibit 62. SDI: 12-month forward PB and ROE trend

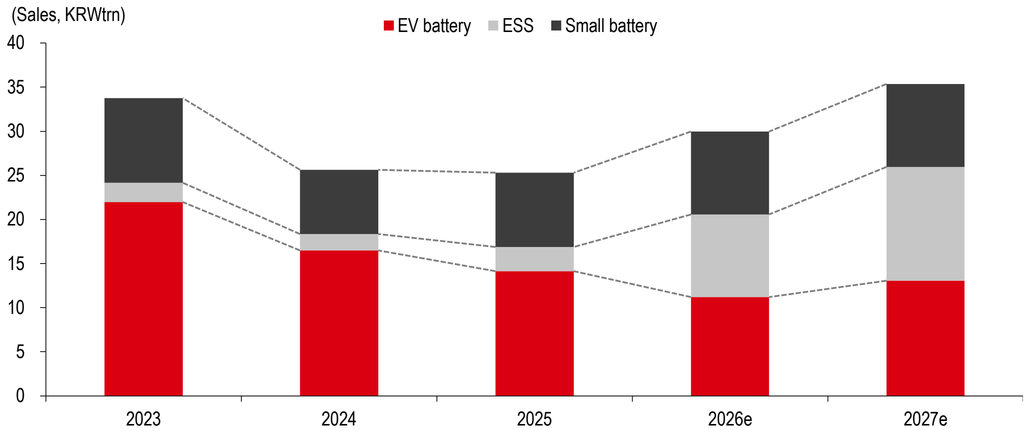


Source: Bloomberg, HSBC estimates

LGES (373220 KP, Buy, TP KRW550,000 from KRW500,000)

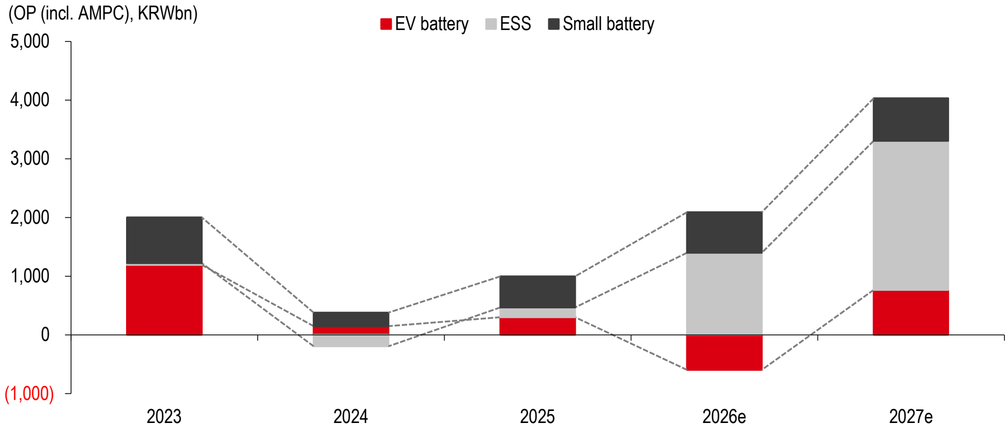
- **Cylindrical strength:** Despite sluggish BEV sales, especially in the US, LGES has secured additional new orders for 46pi cylindrical batteries, resulting in the company's order backlog increasing to 440GW (from 300GW in 2025). LGES has begun production of 46pi cylindrical batteries at its plant in Korea from 4Q25, and we expect sales and margin improvements with incremental volume towards US and EU OEMs. Near-term volumes for cylindrical batteries are also showing strength on the back of high demand for Tesla's Model YL in Asia. LGES will also be ramping up its cylindrical production plant in the US from 2027e, which should further boost earnings, in our view. As LGES's stock performance has been more sensitive to EV demand than SDI's stock performance, we believe upbeat headline EV sales data could be a key near-term catalyst for the stock.
- **ESS upcycle beneficiary:** LGES has been the fast mover among Korea battery makers on converting EV battery lines to ESS lines, which has enabled the company to secure a 140GW-plus ESS order backlog as of end-2025. 1Q26 ESS shipments were below expectations due to the initial ramp-up and bottlenecks at battery pack production. This should change from 2Q26e, and we estimate ESS revenue will show 42% q-o-q growth, which with higher AMPC should result in the company's OP turning to profit. LGES is targeting for 50GW-plus of US ESS capacity by the end of 2026, which we estimate will further increase to 80GW by 2027e as the company is also preparing for prismatic LFP ESS from 2H27e.
- **Disciplined capital optimisation:** LGES is on track of delivering a 40% reduction in capex with 1Q26 capex at cKRW1.6trn (down 47% y-o-y). We believe this capital discipline, coupled with an upward revision of US ESS capacity guidance, signals a more sustainable growth trajectory as the company will prioritise profitability and free cash flow (FCF) over aggressive volume expansion.
- **Maintain Buy and raise our DCF-based TP to KRW550k from KRW500k:** We raise our 2028e OP estimate by 31%, despite lowering our 2026-27e OP estimates by 1% and 3%, respectively, reflecting weaker EV shipment volumes in the US and higher-than-expected initial ESS ramp-up costs. Despite our near-term earnings estimate cuts, our 2027-28e OP estimate are 17% and 12% above Bloomberg consensus, respectively, based on our positive view on LGES's opportunity to benefit from the ESS upcycle and a potential recovery of the EV sector.

Exhibit 63. LGES: ESS to drive overall sales growth in 2026e and 2027e



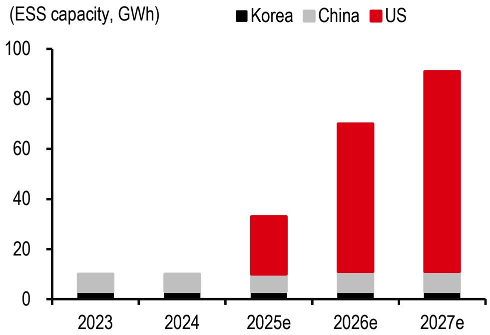
Source: Company data, HSBC estimates

Exhibit 64. LGES: ESS to drive overall OP growth in 2026e and 2027e



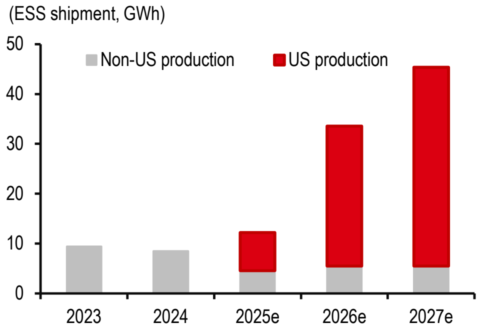
Source: Company data, HSBC estimates

Exhibit 65. LGES: ESS capacity by region



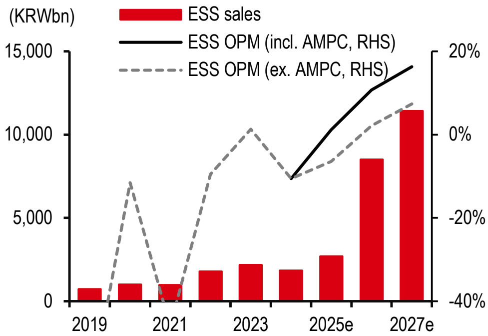
Source: Company data, HSBC estimates

Exhibit 66. LGES: ESS shipment growth driven by US local production



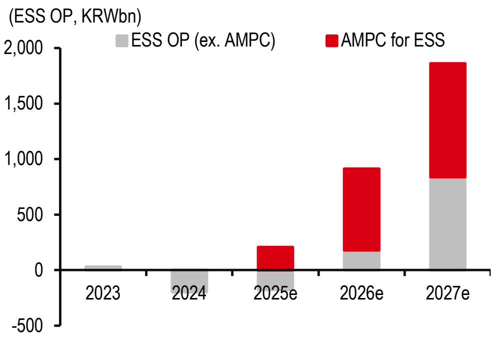
Source: Company data, HSBC estimates

Exhibit 67. LGES: ESS sales and OPM



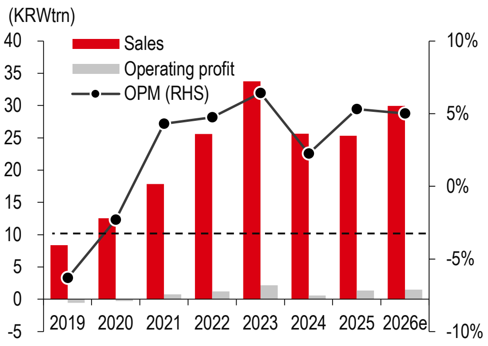
Source: Company data, HSBC estimates

Exhibit 68. LGES: ESS OP and AMPC



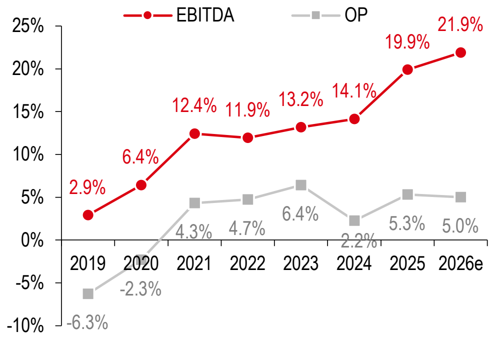
Source: Company data, HSBC estimates

Exhibit 69. LGES: Total sales and OP



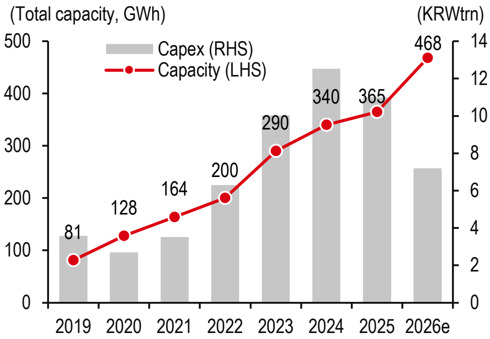
Source: Company data, HSBC estimates

Exhibit 70. LGES: Margin estimates



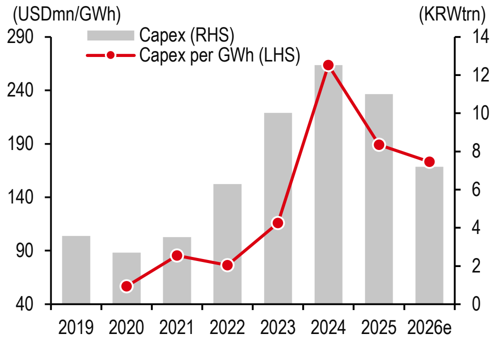
Source: Company data, HSBC estimates

Exhibit 71. LGES: Capex and capacity



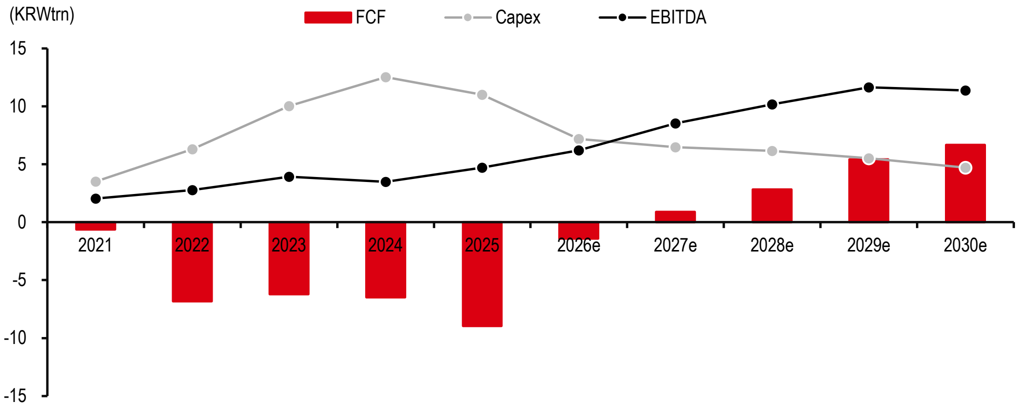
Source: Company data, HSBC estimates

Exhibit 72. LGES: Capex efficiency



Source: Company data, HSBC estimates

Exhibit 73. LGES: Free cash flow set to turn positive from 2027e



Source: Company data, HSBC estimates

Exhibit 74. LGES: Advanced manufacturing production credit (AMPC) estimates

	2023a	2024a	2025a	2026e	2027e	2028e
Capacity (GWh)	**60**	**70**	**93**	**195**	**236**	**250**
EV Battery	**60**	**70**	**70**	**136**	**156**	**166**
US: LGES MI (Michigan)	5	5	5	5	5	5
US: Ultium Cells #1 (Ohio) - J/V	40	40	40	40	40	40
US: Ultium Cells #2 (Tennessee) - J/V	15	25	25	25	25	25
US: Ultium Cells #3 (Michigan) standalone	0	0	0	0	10	10
US: LG-Honda (Ohio) - J/V	0	0	0	0	10	20
US: ES America - cylindrical battery (Arizona)	0	0	0	36	36	36
US: LGES-HMG Battery (Georgia) - J/V			0	30	30	30
ESS			**23**	**59**	**80**	**84**
US: LGES MI (Michigan) - ESS (LFP)			17	17	17	17
US: Ultium Cells #2 (Tennessee) - J/V - ESS (LFP)				6	12	16
US: Ultium Cells #3 (Michigan) standalone - ESS (LFP)				12	27	27
US: LG-Honda (Ohio) - J/V - ESS (LFP)				12	12	12
CA: LG-Stellantis (Ontario) - J/V - ESS (LFP)			6	12	12	12
Utilisation rate (%) - proxy of sales to capacity ratio	**24%**	**44%**	**37%**	**19%**	**30%**	**41%**
EV Battery	**24%**	**44%**	**39%**	**7%**	**19%**	**28%**
US: LGES MI (Michigan)	13%	0%	10%	16%	30%	30%
US: Ultium Cells #1 (Ohio) - J/V	35%	59%	43%	8%	21%	30%
US: Ultium Cells #2 (Tennessee) - J/V	0%	30%	38%	8%	23%	28%
US: Ultium Cells #3 (Michigan) standalone					0%	0%
US: LG-Honda (Ohio) - J/V					8%	28%
US: ES America - cylindrical battery (Arizona)				10%	26%	34%
US: LGES-HMG Battery (Georgia) - J/V				0%	15%	26%
ESS			**33%**	**48%**	**50%**	**68%**
US: LGES MI (Michigan) - ESS (LFP)			40%	96%	85%	85%
US: Ultium Cells #2 (Tennessee) - J/V - ESS (LFP)				73%	59%	75%
US: Ultium Cells #3 (Michigan) standalone - ESS (LFP)				0%	9%	50%
US: LG-Honda (Ohio) - J/V - ESS (LFP)				8%	56%	65%
CA: LG-Stellantis (Ontario) - J/V - ESS (LFP)				54%	78%	80%
Shipments (GWh) - period sum	**14.5**	**31.0**	**34.7**	**37.4**	**70.2**	**103.3**
EV Battery	**14.5**	**31.0**	**27.1**	**9.4**	**30.3**	**45.9**
US: LGES MI (Michigan)	0.6	0.0	0.5	0.8	1.5	1.5
US: Ultium Cells #1 (Ohio) - J/V	13.9	23.6	17.1	3.0	8.5	12.0
US: Ultium Cells #2 (Tennessee) - J/V	0.0	7.4	9.5	1.9	5.6	6.9
US: Ultium Cells #3 (Michigan) standalone	0.0	0.0	0.0	0.0	0.0	0.0
US: LG-Honda (Ohio) - J/V	0.0	0.0	0.0	0.0	0.8	5.5
US: ES America - cylindrical battery (Arizona)	0.0	0.0	0.0	3.7	9.5	12.2
US: LGES-HMG Battery (Georgia) - J/V	0.0	0.0	0.0	0.0	4.5	7.9
ESS			**7.6**	**28.1**	**39.9**	**57.4**
US: LGES MI (Michigan) - ESS (LFP)			6.9	16.4	14.5	14.5
US: Ultium Cells #2 (Tennessee) - J/V - ESS (LFP)			0.0	4.4	7.1	12.0
US: Ultium Cells #3 (Michigan) standalone - ESS (LFP)			0.0	0.0	2.3	13.5
US: LG-Honda (Ohio) - J/V - ESS (LFP)			0.0	0.9	6.8	7.8
CA: LG-Stellantis (Ontario) - J/V - ESS (LFP)			0.8	6.5	9.3	9.6
Production subsidy (USDm)	**514**	**1,087**	**1,159**	**1,067**	**2,104**	**3,072**
EV battery	**514**	**1,087**	**953**	**336**	**1,084**	**1,677**
Battery cell (USD35/kWh)	486	1,087	931	300	983	1,362
Battery module (USD45/kWh)	28	0	22	35	101	315
ESS (reflecting 60% of total; 40% to customers)	**0**	**0**	**343**	**1,219**	**1,701**	**2,326**
Battery cell (USD35/kWh)	0	0	0	152	328	893
Battery module (USD45/kWh)	0	0	343	1,067	1,373	1,433
Total (KRWbn) - reflected in OP	**677**	**1,480**	**1,647**	**1,563**	**3,030**	**4,424**
JV	640	1,480	1,322	248	987	1,705
Standalone	37	0	325	1,315	2,043	2,719
Sharing with JV partner (5:5) in NP (ex. minority portion)	50%	50%	50%	50%	50%	50%
Net NP impact (KRWbn)	**357**	**740**	**986**	**1,439**	**2,536**	**3,571**
vs. OP impact	53%	50%	60%	92%	84%	81%

Source: Company data, Bloomberg, HSBC estimates

Exhibit 75. Earnings trends and estimates

(KRWbn)	1Q26a	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025a	2026e	2027e	2028e
Sales	**6,555**	**7,449**	**7,673**	**8,284**	**7,931**	**8,231**	**9,250**	**9,960**	**25,319**	**29,962**	**35,373**	**40,474**
COGS	5,314	5,494	5,852	6,236	5,882	6,131	6,909	7,297	19,440	22,895	26,219	30,018
GP	**1,241**	**1,955**	**1,822**	**2,048**	**2,050**	**2,099**	**2,341**	**2,663**	**5,879**	**7,066**	**9,154**	**10,456**
SG&A	1,449	2,010	1,724	1,748	1,879	1,919	1,988	2,121	4,533	6,931	7,909	8,457
OP	**-208**	**228**	**521**	**959**	**722**	**830**	**1,234**	**1,488**	**1,346**	**1,500**	**4,275**	**6,423**
D&A	1,095	1,323	1,323	1,323	1,323	1,323	1,323	1,323	3,691	5,062	5,290	5,290
EBITDA	**887**	**1,550**	**1,844**	**2,281**	**2,045**	**2,153**	**2,557**	**2,811**	**5,037**	**6,562**	**9,566**	**11,713**
Non-OP gain	-651	47	-40	299	-237	26	-36	300	-932	-345	52	46
Pretax profit	-859	275	481	1,257	485	856	1,198	1,788	414	1,155	4,327	6,469
Tax	85	55	96	251	97	171	240	358	333	488	865	1,294
Net profit	-944	220	385	1,006	388	685	958	1,430	81	666	3,462	5,175
Net profit (c)*	**-676**	**107**	**216**	**743**	**168**	**425**	**606**	**1,052**	**-1,073**	**389**	**2,250**	**3,406**
GP margin	19%	26%	24%	25%	26%	26%	25%	27%	23%	24%	26%	26%
OPM	-3%	3%	7%	12%	9%	10%	13%	15%	5%	5%	12%	16%
EBITDA margin	14%	21%	24%	28%	26%	26%	28%	28%	20%	22%	27%	29%
NPM	-10%	1%	3%	9%	2%	5%	7%	11%	-4%	1%	6%	8%

Source: Company data, HSBC estimates. Note: *Controlling interests.

Exhibit 76. Earnings estimates by division

(KRWbn)	1Q26a	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025a	2026e	2027e	2028e
Sales	**6,555**	**7,449**	**7,673**	**8,284**	**7,931**	**8,231**	**9,250**	**9,960**	**25,319**	**29,962**	**35,373**	**40,474**
EV battery	2,731	2,593	2,835	3,039	3,030	3,175	3,423	3,445	14,153	11,198	13,074	14,903
ESS	1,520	2,437	2,474	2,956	2,548	2,634	3,465	4,241	2,712	9,387	12,888	16,337
Small battery	2,303	2,419	2,365	2,289	2,353	2,421	2,362	2,275	8,454	9,377	9,411	9,234
EV	2,221	2,324	2,218	2,265	2,306	2,397	2,309	2,256	7,844	9,029	9,268	9,246
Non-EV	82	95	198	161	138	138	189	155	610	535	619	600
OP	**-208**	**228**	**521**	**959**	**722**	**830**	**1,234**	**1,488**	**1,346**	**1,500**	**4,275**	**6,423**
EV battery	-385	-318	-164	-67	-113	-167	-79	41	-654	-934	-318	47
ESS	-167	86	77	184	114	164	245	318	-175	180	841	1,242
Small battery	146	176	185	184	170	183	186	183	528	691	722	710
EV	200	209	195	192	199	206	196	191	565	796	791	777
Non-EV	-54	-33	-10	-8	-30	-22	-9	-8	-37	-105	-69	-67
AMPC	199	283	423	658	552	650	882	946	1,647	1,563	3,030	4,424
OPM	**-3%**	**3%**	**7%**	**12%**	**9%**	**10%**	**13%**	**15%**	**5%**	**5%**	**12%**	**16%**
EV battery	-14%	-12%	-6%	-2%	-4%	-5%	-2%	1%	-5%	-8%	-2%	0%
ESS	-11%	4%	3%	6%	4%	6%	7%	7%	-6%	2%	7%	8%
Small battery	6%	7%	8%	8%	7%	8%	8%	8%	6%	7%	8%	8%
EV	9%	9%	9%	8%	9%	9%	8%	8%	7%	9%	9%	8%
Non-EV	-66%	-35%	-5%	-5%	-21%	-16%	-5%	-5%	-6%	-20%	-11%	-11%
Net profit*	**-676**	**107**	**216**	**743**	**168**	**425**	**606**	**1,052**	**-1,073**	**389**	**2,250**	**3,406**

Source: Company data, HSBC estimates. Note: *Controlling interests.

Exhibit 77. LGES: DCF valuation assumption changes

(KRWbn)	Old	New	Change
PV of 10-year FCF (2026-34e)*	**4,112**	**30,625**	**645%**
PV of terminal value	130,719	118,527	-9%
Enterprise value	**134,830**	**149,152**	**11%**
Net debt (as of end-2024)	18,485	19,977	8%
Equity value	**116,346**	**129,176**	**11%**
No. of shares ('000)	234,000	234,000	0%
Target price (KRW)	**500,000**	**550,000**	**10%**

Source: HSBC estimates. Note: *Revised DCF valuation from a 6-year model (2025-30e PV of FCF) to a 10-year model (2026e-35e PV of FCF).

Our target price of KRW550k implies a 2026-27e EV/EBITDA multiple of 20.8x and 14.3x, respectively.

Valuation and risks

		Valuation	Risks
LG Energy Solution 373220 KS **Buy**	Current price: **KRW458,000** Target price: **KRW550,000** Up/downside: **+20.1%**	We have a Buy rating with a target price of KRW520,000 (from KRW500,000). Our DCF model incorporates a ten-year forecast period (2026-35e) (from a six-year forecast, 2025-30e) based on our profit and cash flow estimates. We assume a WACC of 7.3%, based on a beta of 1.4, a risk-free rate of 4.25%, an ERP of 4.00%, a cost of debt of 1.6%, and a target leverage of 30%. We also assume a terminal growth rate of 4.0% (all unchanged). Our DCF model derives an enterprise value of KRW149,152bn (from KRW134,830bn), from which we subtract end-2026e net debt of KRW19,977bn (from end-2025 net debt of KRW18,485bn), resulting in our equity value estimate of KRW129,176bn (from KRW116,346bn). Our target price of KRW550,000 (from KRW500,000) implies c20% upside from the current share price; accordingly, we maintain our Buy rating on the stock.	**Key downside risks:** (1) Potential large-scale battery recalls. (2) Rising contribution of JV capacity could lead to margin dilution, given potentially more favourable battery pricing to car makers, single customer concentration risk, and technology leaks. (3) Aggressive battery insourcing by major customers like Tesla and VW could jeopardise LGES's shipment growth and price negotiations with customers. (4) Faster market share gains of LFP batteries produced by Chinese makers. (5) Pre-emptive large-scale investment in battery capacity additions, especially in the US and the EU, could require another round of capital raising, if battery margins improve more slowly than expected due to across-the-board cost inflation.
Samsung SDI 006400 KS **Buy**	Current price: **KRW688,000** Target price: **KRW900,000** Up/downside: **+30.8%**	We use a sum-of-the-parts (SOTP) approach to value Samsung SDI. We have Buy rating on the stock with a new TP of KRW900,000 (from KRW520,000). For the small-size battery unit, we apply a 12.0x target multiple to our 2027e EBITDA estimate (from our 2026e EBITDA estimate), average multiple of battery peers for 2018-20: LG Chem (051910 KS, KRW344,500, Hold), Panasonic (6752 JT, JPY3544.0, Not Rated), and CATL (300750 CH, RMB415.68, Buy). For the EV battery unit, we use a DCF analysis with a WACC of 7.6% (from 7.7%) based on an equity risk premium of 4.0%, a risk-free rate of 4.25%, a target leverage of 11%, a beta of 1.0, and a terminal growth rate of 3.5% (from 2.1%). From this report, we conduct a 10-year DCF analysis from 2026-35e (versus a 6-year DCF analysis from 2025-30e). For the electronic materials unit, we apply an EV/EBITDA multiple of 5.8x to our 2027e EBITDA estimate (from our 2026e EBITDA estimate), which is the average multiple of Nitto Denko (6988 JT, JPY3,115.0, Not Rated) for 2005-08 when electronic materials margins improved on market share gains. For the SDC stake, we use a 2026e BVPS estimate of the company, as we see the accelerated liquidation process for the stake (see Exhibit 60 for details). Our KRW900,000 target price (from KRW520,000) implies c31% upside from the current share price; accordingly, we maintain our Buy rating on the stock.	**Key downside risks:** (1) There could be one-off costs (provisions) related to EV fire incidents. (2) Delays in emission reduction targets could negatively affect demand for EV LIBs. (3) Faster-than-anticipated technology upgrades at Chinese EV LIB makers could increase competition in the EV battery industry. (4) Lithium and cobalt shortages over the near term could result in a surge in EV battery material prices. (5) Weaker demand for power tools could erode small battery growth and profitability.

Priced as at 29 May 2026.
Source: Bloomberg, HSBC estimates

Financials & valuation: LG Energy Solution

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (KRWbn)				
Revenue	25,319	29,962	35,373	40,474
EBITDA	5,037	6,562	9,566	11,713
Depreciation & amortisation	-3,691	-5,062	-5,290	-5,290
Operating profit/EBIT	1,346	1,500	4,275	6,423
Net interest	-86	105	52	46
PBT	414	1,155	4,327	6,469
HSBC PBT	414	1,155	4,327	6,469
Taxation	-333	-488	-865	-1,294
Net profit	-1,073	389	2,250	3,406
HSBC net profit	-1,073	389	2,250	3,406
Cash flow summary (KRWbn)				
Cash flow from operations	2,368	6,140	8,376	10,524
Capex	-10,999	-7,190	-6,471	-6,147
Cash flow from investment	-10,994	-7,188	-6,469	-6,145
Dividends	0	0	0	0
Change in net debt	7,208	1,492	-1,033	-3,070
FCF equity	-8,529	-948	2,007	4,479
Balance sheet summary (KRWbn)				
Intangible fixed assets	1,592	1,592	1,592	1,592
Tangible fixed assets	40,795	41,735	42,814	43,568
Current assets	18,412	20,542	22,912	25,771
Cash & others	3,779	3,466	3,676	4,315
Total assets	67,148	70,378	73,988	77,763
Operating liabilities	31,140	33,569	33,807	32,681
Gross debt	6,686	6,821	6,730	6,456
Net debt	18,485	19,977	18,944	15,874
Shareholders' funds	20,216	20,604	22,854	26,260
Invested capital	25,879	26,834	29,834	33,934

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
y-o-y % change				
Revenue	-1.2	18.3	18.1	14.4
EBITDA	39.1	30.3	45.8	22.5
Operating profit	134.0	11.4	185.0	50.2
PBT	18.7	178.8	274.8	49.5
HSBC EPS	-		478.7	51.4
Ratios (%)				
Revenue/IC (x)	1.0	1.1	1.2	1.3
ROIC	1.0	3.3	12.1	16.1
ROE	-3.6	1.3	7.1	9.5
ROA	7.9	9.5	13.3	15.4
EBITDA margin	19.9	21.9	27.0	28.9
Operating profit margin	5.3	5.0	12.1	15.9
EBITDA/net interest (x)	58.4	-	-	-
Net debt/equity	63.0	66.6	56.6	41.1
Net debt/EBITDA (x)	3.7	3.0	2.0	1.4
CF from operations/net debt	12.8	30.7	44.2	66.3
Per share data (KRW)				
EPS Rep (diluted)	-4,584.66	1,661.61	9,615.17	14,555.54
HSBC EPS (diluted)	-4,584.66	1,661.61	9,615.17	14,555.54
DPS	0.00	0.00	0.00	0.00
Book value	86,391.24	88,052.85	97,668.02	112,223.56

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	5.3	4.6	3.9	3.3
EV/EBITDA	26.8	20.8	14.3	11.6
EV/IC	5.2	5.1	4.6	4.0
PE*	NM	275.6	47.6	31.5
PB	5.3	5.2	4.7	4.1
FCF yield (%)	-8.0	-0.9	1.9	4.2
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	78.1
Energy intensity*	676.1
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	NA
Employee turnover (%)	5.3
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	7
Average board tenure (years)	NA
Female board members (%)	28.6
Board members independence (%)	57.1

Source: Company data, HSBC

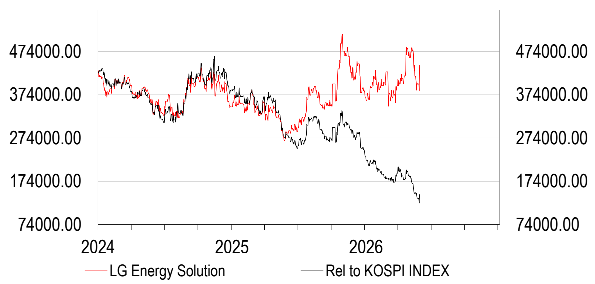
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (KRW)	458,000.00
Target price (KRW)	550,000.00
RIC (Equity)	373220.KS
Bloomberg (Equity)	373220 KP
Market cap (USDm)	71,630

Free float	10%
Sector	Auto Components
Country/Region	Korea
Analyst	Yushin Park
Contact	+82 2 3706 8756

Price relative



Source: HSBC

Note: Priced at close of 29 May 2026

Financials & valuation: Samsung SDI

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (KRWbn)				
Revenue	13,267	16,062	20,639	23,292
EBITDA	381	2,311	4,375	5,318
Depreciation & amortisation	-2,103	-2,189	-2,307	-2,444
Operating profit/EBIT	-1,722	121	2,068	2,873
Net interest	-270	-270	-270	-270
PBT	-1,089	766	2,782	3,625
HSBC PBT	-1,089	766	2,782	3,625
Taxation	489	-214	-779	-1,015
Net profit	-649	496	1,803	2,349
HSBC net profit	-649	496	1,803	2,349
Cash flow summary (KRWbn)				
Cash flow from operations	514	2,073	3,260	4,297
Capex	-3,067	-3,000	-3,200	-3,200
Cash flow from investment	-1,999	-2,786	-2,491	-2,195
Dividends	-79	-79	-79	-79
Change in net debt	-587	1,152	-329	-1,662
FCF equity	-2,541	-999	-12	1,025
Balance sheet summary (KRWbn)				
Intangible fixed assets	584	584	584	584
Tangible fixed assets	19,241	20,123	21,088	21,916
Current assets	8,740	9,128	11,930	15,058
Cash & others	1,804	731	1,140	2,882
Total assets	42,255	44,205	48,267	52,223
Operating liabilities	5,715	7,116	9,160	10,567
Gross debt	11,072	11,151	11,230	11,310
Net debt	9,268	10,420	10,090	8,428
Shareholders' funds	21,443	21,917	23,843	26,376
Invested capital	21,045	21,989	23,303	24,110

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
y-o-y % change				
Revenue	-20.0	21.1	28.5	12.9
EBITDA	-83.0	507.0	89.3	21.5
Operating profit	-574.1	-	1603.1	39.0
PBT	-276.4	-	263.2	30.3
HSBC EPS	-192.1	-	263.2	30.3
Ratios (%)				
Revenue/IC (x)	0.6	0.7	0.9	1.0
ROIC	-4.2	0.7	6.9	9.0
ROE	-3.2	2.3	7.9	9.4
ROA	-0.3	1.8	4.8	5.6
EBITDA margin	2.9	14.4	21.2	22.8
Operating profit margin	-13.0	0.8	10.0	12.3
EBITDA/net interest (x)	1.4	8.6	16.2	19.7
Net debt/equity	39.3	43.3	38.9	29.6
Net debt/EBITDA (x)	24.3	4.5	2.3	1.6
CF from operations/net debt	5.5	19.9	32.3	51.0
Per share data (KRW)				
EPS Rep (diluted)	-8,253.13	6,307.46	22,910.90	29,851.28
HSBC EPS (diluted)	-8,253.13	6,307.46	22,910.90	29,851.28
DPS	1,000.00	1,000.00	1,000.00	1,000.00
Book value	272,485.49	278,512.07	302,986.93	335,173.31

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	3.9	3.3	2.5	2.1
EV/EBITDA	136.3	22.7	11.8	9.4
EV/IC	2.5	2.4	2.2	2.1
PE*	NM	109.1	30.0	23.0
PB	2.5	2.5	2.3	2.1
FCF yield (%)	-4.6	-1.8	-0.0	1.8
Dividend yield (%)	0.1	0.1	0.1	0.1

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	106.2
Energy intensity*	779.2
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	3.1
Employee turnover (%)	12.6
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	7
Average board tenure (years)	NA
Female board members (%)	28.6
Board members independence (%)	57.1

Source: Company data, HSBC

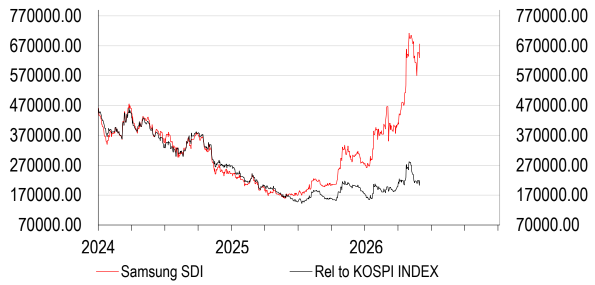
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (KRW)	688,000.00
Target price (KRW)	900,000.00
RIC (Equity)	006400.KS
Bloomberg (Equity)	006400 KP
Market cap (USDm)	37,056

Free float	65%
Sector	Electronic Equipment
Country/Region	Korea
Analyst	Yushin Park
Contact	+82 2 3706 8756

Price relative



Source: HSBC

Note: Priced at close of 29 May 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Yushin Park and Chan Park

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

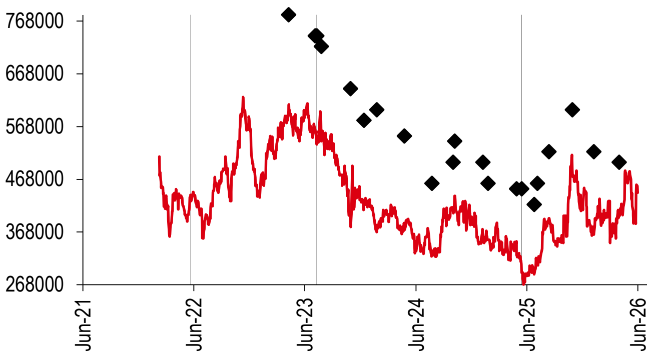
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

LG Energy Solution (373220.KS) share price performance KRW Vs HSBC rating history



Source: HSBC

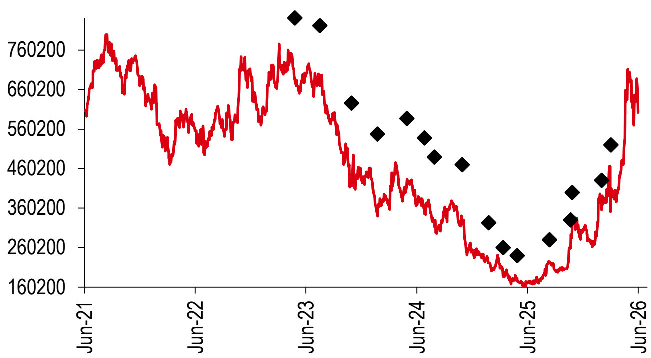
Rating & target price history

From	To	Date	Analyst
N/A	Buy	22 May 2022	Will Cho
Buy	Restricted	11 Jul 2023	
Restricted	Buy	12 Jul 2023	Will Cho
Buy	Restricted	15 May 2025	
Restricted	Buy	16 May 2025	Will Cho

Target price	Value	Date	Analyst
Price 1	780000	10 Apr 2023	Will Cho
Price 2	740000	07 Jul 2023	Will Cho
Price 3	Restricted	11 Jul 2023	
Price 4	740000	12 Jul 2023	Will Cho
Price 5	720000	27 Jul 2023	Will Cho
Price 6	640000	31 Oct 2023	Will Cho
Price 7	580000	14 Dec 2023	Will Cho
Price 8	600000	26 Jan 2024	Will Cho
Price 9	550000	25 Apr 2024	Will Cho
Price 10	460000	25 Jul 2024	Will Cho
Price 11	500000	03 Oct 2024	Will Cho
Price 12	540000	08 Oct 2024	Will Cho
Price 13	500000	09 Jan 2025	Will Cho
Price 14	460000	26 Jan 2025	Will Cho
Price 15	450000	30 Apr 2025	Will Cho
Price 16	Restricted	15 May 2025	
Price 17	450000	16 May 2025	Will Cho
Price 18	420000	27 Jun 2025	Will Cho
Price 19	460000	07 Jul 2025	Will Cho
Price 20	520000	14 Aug 2025	Will Cho
Price 21	600000	30 Oct 2025	Will Cho
Price 22	520000	09 Jan 2026	Will Cho
Price 23	500000	02 Apr 2026	Will Cho

Source: HSBC

Samsung SDI (006400.KS) share price performance KRW Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	06 Apr 2016	Will Cho

Target price	Value	Date	Analyst
Price 1	841169	27 Apr 2023	Will Cho
Price 2	821607	18 Jul 2023	Will Cho
Price 3	625986	31 Oct 2023	Will Cho
Price 4	547738	24 Jan 2024	Will Cho
Price 5	586862	30 Apr 2024	Will Cho
Price 6	537957	27 Jun 2024	Will Cho
Price 7	489051	30 Jul 2024	Will Cho
Price 8	469489	30 Oct 2024	Will Cho
Price 9	322774	26 Jan 2025	Will Cho
Price 10	259753	14 Mar 2025	Will Cho
Price 11	240000	30 Apr 2025	Will Cho
Price 12	280000	14 Aug 2025	Will Cho
Price 13	330000	23 Oct 2025	Will Cho
Price 14	400000	28 Oct 2025	Will Cho
Price 15	430000	02 Feb 2026	Will Cho
Price 16	520000	05 Mar 2026	Will Cho

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: *www.research.privatebank.hsbc.com/Disclosures*

All other clients: *www.research.hsbc.com/A/Disclosures*

HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
LG ENERGY SOLUTION	373220.KS	442500.00	02 Jun 2026	1, 5, 7
SAMSUNG SDI	006400.KS	602000.00	02 Jun 2026	7

Source: HSBC

1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
4 As of 30 April 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
8 A covering analyst/s has received compensation from this company in the past 12 months.
9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
12 As of 27 May 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

13 As of 27 May 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at *www.hsbcnet.com/research*. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

Additional disclosures

1 This report is dated as at 04 June 2026.

2 All market data included in this report are dated as at close 29 May 2026, unless a different date and/or a specific time of day is indicated in the report.

3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.

4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.

Production & distribution disclosures

1. This report was produced and signed off by the author on 02 Jun 2026 08:27 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at https://www.research.hsbc.com/R/34/QPSQdZk

Disclaimer

Legal entities as at 13 May 2026:
HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, Dubai branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report
The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch
7th Floor, HSBC Building
25, 1-ka, Bongrae-dong
Chung-ku, Seoul 100-161, Korea
Telephone: +822 3706 8700/3
Fax: +822 3706 8797
Website: www.research.hsbc.com

This document has been issued by The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HSBC") for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers. If it is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. Expressions of opinion are those of the Research Division of HSBC only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment). HSBC and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies. This publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document.

In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. In Hong Kong, this document has been distributed by The Hongkong and Shanghai Banking Corporation Limited in the conduct of its Hong Kong regulated business for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited makes no representations that the products or services mentioned in this document are available to persons in Hong Kong or are necessarily suitable for any particular person or appropriate in accordance with local law. All inquiries by such recipients must be directed to The Hongkong and Shanghai Banking Corporation Limited. It may not be further distributed in whole or in part for any purpose. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures".

If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

[1280290]

Stay connected to our topical and timely thought leadership

Download the HSBC Global Investment Research app
From Apple's **App Store** or **Google Play** The app features topical and timely curated reports, multimedia, and upcoming events

Log on to the Global Investment Research website
To access all reports and videos, visit **research.hsbc.com**

Connect with Global Investment Research on LinkedIn
Search **#HSBCResearch** for free to view insights that can easily be shared with clients and prospects

Subscribe and listen
Under the Banyan Tree by HSBC Global Investment Research on **Apple**, **Spotify** or **YouTube**
The Macro Brief by HSBC Global Investment Research on **Apple**, **Spotify** or **YouTube**

Newsletters
Subscribe to our monthly collection of free to view reports and interviews in **Open Pass** or read our bite-sized round up of research covering our nine key themes, **Talking Points**